

Degree Project in Integrated Product Design

Innovation Management and Product Development

Second cycle, 30 credits

An innovation strategy framework for decentralized organizations

An in-depth case study in Sweden

NICLAS FINN GUTSCHMIDT

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Niclas Finn Gutschmidt

6/24/2026

Master's Thesis

Examiner
Sofia Ritzén

Academic adviser
Mats Magnusson

Industrial adviser
Axel Macquart-Moulin

KTH Royal Institute of Technology
School of Industrial Engineering and Management (ITM)
Department of IPD
SE-100 44 Stockholm, Sweden

Abstract

Innovation is a critical driver of competitive advantage, yet managing it strategically in decentralized organizations remains poorly understood. Existing innovation management frameworks, including ISO 56001:2024, assume centralized governance and a unified organizational actor with sufficient authority to prescribe strategy, control and protect budgets, and align incentives. This assumption does not hold in organizations structured as networks of autonomous, profit-responsible business units (BUs), where strategic authority is distributed and the corporate center's legitimate governance role is structurally limited.

This thesis investigates how innovation strategy should be formulated and governed in a highly decentralized organization. The study was conducted as an in-depth case study at a global engineering services company operating in Sweden, complemented by smaller external case studies at three companies across different industries and organizational structures. Data was collected through a mixed-method approach comprising internal interviews, external semi-structured interviews, internal workshops with both BU managers and central management, and documentary review. Analysis followed inductive and abductive, iterative coding processes grounded in a Gioia methodology.

The findings reveal that BU-level innovation behavior is suppressed not by cultural failure but by a structurally reinforced dominant logic, driven by profit-and-loss accountability and misaligned incentive architecture. Central management attempts an enabling governance style while simultaneously maintaining an incentive structure that makes innovation personally costly for BU managers, a mismatch that rationally produces risk aversion, resource underinvestment, and strategic fragmentation.

Two theoretical contributions are proposed. First, the Structure-Authority Legitimacy Framework (SALF) argues that the type of authority, a central function can legitimately exercise over innovation strategy is determined by the organization's degree of decentralization and not freely chosen by management. Second, a four-level innovation strategy framework is developed specifically for decentralized organizations, incorporating a strategy interface layer that mediates between central strategic intent and autonomous BU initiatives without relying on central authority to do so.

Keywords

Innovation strategy, Decentralized organization, Governance legitimacy, Dominant logic, Innovation management

Sammanfattning

Innovation är en avgörande faktor för konkurrensfördelar, men hur man hanterar den strategiskt i decentraliserade organisationer är fortfarande ett relativt outforskat område. Befintliga ramverk för innovationshantering, däribland ISO 56001:2024, utgår från centraliserad styrning och en samlad organisatorisk aktör med tillräcklig befogenhet att fastställa strategi, kontrollera och skydda budgetar samt samordna incitament. Detta antagande stämmer inte i organisationer som är strukturerade som nätverk av autonoma, resultatansvariga affärsenheter (BU:er), där den strategiska befogenheten är fördelad och huvudkontorets legitima styrningsroll är strukturellt begränsad.

Denna rapport undersöker hur innovationsstrategi bör formuleras och styras i en starkt decentraliserad organisation. Studien genomfördes som en fördjupad fallstudie vid ett globalt ingenjörsföretag verksamt i Sverige, kompletterad med mindre externa fallstudier vid tre företag inom olika branscher och organisationsstrukturer. Data samlades in genom en flermetodsforskning som omfattade interna intervjuer, externa semistrukturerade intervjuer, interna workshops med både affärsenhetschefer och central ledning samt dokumentgranskning. Analysen följde induktiva och abduktiva, iterativa kodningsprocesser grundade sig i en Gioia-metodik.

Resultaten visar att innovationsbeteendet på affärsenhetsnivå inte hämmas av kulturella brister utan av en strukturellt förankrad dominerande logik, som drivs av resultatansvar och en missriktad incitamentsstruktur. Den centrala ledningen strävar efter en stödjande ledarstil samtidigt som man upprätthåller en incitamentsstruktur som gör innovation personligt kostsamt för affärsenhetscheferna, en obalans som rationellt sett leder till riskaversion, underinvesteringar i resurser och strategisk fragmentering.

Två teoretiska bidrag föreslås. För det första hävdar Structure-Authority Legitimacy Framework (SALF) att den typ av auktoritet som en central funktion legitimt kan utöva över innovationsstrategin bestäms av organisationens grad av decentralisering och inte fritt väljs av ledningen. För det andra utvecklas ett innovationsstrategiskt ramverk på fyra nivåer specifikt för decentraliserade organisationer, som inkorporera ett strategiskt gränssnitt som förmedlar mellan centrala strategiska avsikter och autonoma affärsenhetsinitiativ utan att förlita sig på central auktoritet för att göra detta.

Nyckelord

Innovationsstrategi, decentraliserad organisation, styrningens legitimitet, dominerande logik, innovationshantering

Acknowledgments

First, I want to thank my supervisors: Professor Mats Magnusson for his guidance and highly competent academical feedback, that helped me navigate a broad and open problem space; and Axel Macquart-Moulin, for his enabling support and creating a pleasant work environment. Both pushed me to drive and frame a project in a field that was interesting and challenging for me.

Furthermore, I want to thank all interviewees, participants and colleagues at the case company for their trust and collaboration. Their openness and support were a key component of the work I have done and created a work environment that allowed exploration and curiosity.

A sincere thank you to my peers from KTH for meaningful exchange and feedback regarding my thesis but also engaging in non-academic adventures, allowing me to take a step back and look at my work with a fresh perspective.

Lastly, a heartful thanks to my parents and grandparents, who are always supporting me no matter what. They made it possible that I could experience my master studies the way I did and finish with this thesis.

Stockholm, June 2026
Niclas Finn Gutschmidt

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List of acronyms and abbreviations

BU	Business Unit
ROI	Return on Investment
KPI	Key Performance Indicator
IP	Intellectual property
BUM	Business Unit Manager
MD	Managing Director
ID	Innovation Director
P&L	Profit and Loss
SALF	Structure-Authority Legitimacy Framework

1 Introduction

Innovation is a critical success factor and competitive advantage for companies. Companies who are innovative are outperforming companies who are not, in growth, financial performance and employment [1].

This is also recognized by the case company hosting this master thesis. The managers at company X desire advancements regarding innovation and identified that they are lacking innovation capabilities. Hence, the practical motivation for this thesis is to improve the innovation management system and, more specifically, the innovation strategy of company X. The case company is a global active multinational company, which offers engineering as a service: designing, building, operating, and maintaining energy-intensive, digitally integrated infrastructures for Business-to-Business and Business-to-Government clients. Company X presents itself as a decentralized network of profit-responsible business units (BU). This decentralized organizational structure makes it an interesting and under researched case.

Successful innovation management is a learned capability, that requires its own strategy, and skills and knowledge different from the standard management practice to turn opportunities into ideas and putting them into practice [1].

Searching for literature reveals a gap regarding innovation strategy and the interplay between innovation strategy and innovation systems. Particularly, standardized frameworks integrating innovation into organizational strategy are absent [2]. Specifically, how to frame such a strategy in a decentralized organization combining top-down and bottom-up approaches is under researched.

1.1 Background

The basic definition of innovation is an idea that gets realized as an invention and established (diffused) in the market:

idea + invention + diffusion = innovation [3]

“An innovation is a new or improved product or process (or combination thereof) that differs significantly from the unit’s previous products or processes and that has been made available to potential users (product) or brought into use by the unit (process).”[4].

Successful implementation is the key. According to Lercher (2020) innovations are ideas transformed into sales or persistent competitive advantage. He views, innovation beyond the technological sector, stating that innovation in services, marketing, applications and business models became equally important as in conventional products and processes [5].

This extended view on innovation will be applied throughout, as the case company is a technology integrator rather than a manufacturer. Widening the definition may help to lay the foundation for an innovation culture.

Innovation requires a dedicated strategy to guide planning, prioritization, and the selection of appropriate innovation activities. By defining clear objectives and informing strategic trade-offs, an innovation strategy enhances performance and supports the development of a sustainable competitive advantage. In contrast, the lack of such a strategy often undermines improvement efforts in the innovation system [2, 6].

Therefore Wolf et al. define Innovation strategy as a set of actions fostering all procedures in an organization, including strategic goals and guidelines which have the goal to generate innovations [3].

To apply innovation strategy at the case company its organizational set up being a decentralized organization with autonomous BUs needs to be understood. This means that BUs are acting within a constrained freedom or independence, possessing the ability to take decisions on their own that would generally belong to a higher level in comparable organizations, that have a more centralized organizational structure [6]. Decentralization allows subsidiaries to achieve superior roles within a multinational corporation, taking on greater strategic responsibility beyond purely executing central directives [7]. A subsidiary at company X takes that role developing their own strategy and, in this way, contribute decisively to the top organization's strategy.

1.2 Problem formulation

A decentralized organizational structure, as the case company's, can benefit innovation in many ways on the one hand. On the other hand, it creates new managerial challenges how to use the benefits of this structure right and govern a system toward increasing innovation performance without being too restrictive on subsidiaries' autonomy. What arises is the difficulty in creating a strategy managing top-down and bottom-up approaches.

Furthermore, literature assumes centralized companies with mostly top-down strategy approaches, that are often recommended to follow more decentralized approaches. Knowledge of applied theory in decentralized organizations is limited. It is often argued that more decentralized approaches benefit explorative innovations [8] and consequently long term competitiveness but how to implement innovation management systems or strategies in a truly decentralized organization is lacking. Specifically empirical knowledge is not available in literature. This leads to the following research questions:

What are the key components and key interdependencies in innovation strategy and -system for a decentralized company?

How to generate an innovation strategy in a decentralized company?

How to create a system that allows a decentralized strategy?

1.3 Purpose

Researching the state of the art on innovation strategy theoretically and practically, this thesis shall contribute to the empirical data of innovation management and especially on innovation strategy in decentralized organizations. Finally, a hands-on adaptable framework should be presented, which can be applied by the case company. To do so the framework should enable business units to do innovation without loading them with too much reporting and work.

Still there is no need for chaos to invent. An enabling bureaucracy with supporting rules has a massive positive impact on exploitive and no negative impact on explorative innovation. Indeed, setting routines in rules frees up mental capacity for creative tasks [8].

1.4 Delimitations

The thesis is internally limited to the case of company X, which is a global operating technology integrator with core offerings in designing, building, and maintaining energy, industrial, and information and communication technology systems. However, this thesis focuses on the operations in the Swedish sub-organization. The national focus on one organization allows for a more in-depth study, although it might limit the generalizability of the work. Nonetheless data from companies outside was gathered and used in the thesis, giving the contextual analysis of the results a broader frame than a classical single case study would.

2 Theoretical foundation of decentralized organizations and strategy

This chapter proceeds in three parts. First, it examines the decentralized organization: what decentralization means, how autonomy is governed, and what tensions this structure creates for managing innovation. Second, it traces how strategy is generated at the corporate and business level, then narrows to innovation strategy specifically. Third, it identifies the factors that enable or constrain innovation strategy in practice: culture, the innovation system, and resource allocation. These three bodies of literature do not yet speak to each other coherently in the context of decentralized organizations. The chapter closes by identifying a gap: the absence of a governance model for how innovation strategy evolves in an organization where central management has limited authority over autonomously acting business units.

2.1 The decentralized organization: Governance and autonomy

Decentralization is the delegation of authority. It sets the permitted level of local decision-making authority. Autonomy is a constrained freedom or independence, that can be either assigned or assumed. In this regard authority is defined as the formal right to make decision. This establishes the difference that a BU might have the autonomy to act but could have limited authority. Autonomy solely provides the ability to influence business but is limited to the granted authority [6].

Advantages of a decentralized structure are local responsiveness and innovation resource utilization. The autonomous structure allows for rapid responses to opportunities and threats in the market. Furthermore, it provides the possibility to act on customer demands locally differentiated. Additionally, the whole organization can capitalize on one subsidiary's unique resources by "clustering of minds", creating innovation resources [7].

Possible disadvantages could be "Empire building", inefficiencies, loss of control and coordination costs. Managers could act independently of the organization's interest if they perform on a too high level of autonomy. Additionally, subsidiaries getting too influential might dominate the network. Another consequence of this organizational set up is increased administrative costs due to the non-hierarchical organization with multiple autonomous BUs. Further costs concern resource allocation, that must be managed differently in a decentralized set up. Supplementary inefficiencies are a possible lack of strategic focus as well as inefficiency in the internal capital market, that can occur [7]. Another possible drawback is that in decentralized multi-division firms BUs optimize their individual performance and collectively underinvest in shared capabilities to create value for the whole organization. The competences and resources to innovate become fragmented and imprisoned within individual units. Prahalad and Hamel's (1990) solution is the concept of core competence, the ability to coordinate diverse skills and integrate technologies across BU boundaries. [9] In the context of innovation this suggests that the corporate center's primary role is not to control what a BU innovates but to identify, cultivate and protect the shared innovation capabilities that no single BU would sustain independently. However, the work of Prahalad and Hamel (1990) assumes that the corporate center possesses the necessary authority for this role, what cannot be taken for granted in a highly decentralized organization.

The role of supervisors can become more of a support function to the autonomous acting BU's and employees. Majorly they support with necessary resources like information, the right equipment, funding or time. But they are also responsible for relational support creating an environment of trust and active listening. Moreover, supervisors support evaluation, providing feedback and advice as well as professional guidance. Middle managers may act as knowledge-transfer agents [10].

How to govern multi-division organizations is addressed by Goold and Campbell (1987), who identify three distinct corporate parenting styles based on the parameters planning, influence over BU strategy and control of BU performance.

1. strategic planning style: center is deeply involved in the content of BU strategy, providing detailed direction and resources
2. financial control style: center withdraws entirely from strategic content, managing only through financial targets and capital allocation
3. strategic control style: center sets the strategic direction and performance expectations but leaves operational and content decisions to BUs (intermediate position) [11]

What their framework does not address is the condition where the parenting style is not freely chosen but is constrained by the existing degree of decentralization in the organization. A firm that has evolved toward high BU autonomy over many years cannot simply elect a strategic planning style; the center's legitimate authority has already been structurally bounded. This constraint, the relationship between the degree of decentralization and the legitimate governance role of the center, is the problem that this thesis examines in the context of innovation strategy.

The governance challenge in a decentralized organization is compounded by what Prahalad and Bettis (1986), further developed by Madsen (2012), call the dominant logic. It describes an enduring management view built on positive reinforcement through past success. Dominant logic functions as a gravitational pull towards established strategy and away from unfamiliar innovation activities [12, 13]. In a decentralized organization this dominant logic multiplies. Each BU develops own operational logic based on its market position, client relations and profit and loss (P&L) accountability. At the case company the BU-level dominant logic (client-driven, reactive and project focused) functions not as a cultural attitude but as a structurally reinforced cognitive frame that may suppress innovation. Innovation strategy would need to address multiple dominant logics not as management decisions but as structural cognitions embedded in the organization's incentive architecture. Even though organizations shift towards decentralized organizations to reinforce innovation, this shift is insufficient on its own. Young and Tavares (2004) argue that autonomy does not automatically translate into better innovative behavior. It must be coupled with positive motivation and sufficient resources. Where the incentive architecture continues to reward short-term financial performance and penalize resource commitments that reduce P&L, the structural freedom granted by decentralization will consistently be used for operational delivery rather than innovation. These issues have direct implications for strategy. A decentralized organization cannot resolve the tensions described above, between autonomy and coordination, between BU-level dominant logic and corporate innovation intent, through governance design choices alone. Before a governance model can be proposed, the nature of strategy itself must be examined: how it forms, who shapes it, and what it assumes about organizational authority. This is done in the following section.

2.2 Strategy generation

Strategy is the organizing concept linking the decentralized structure examined in 2.1 to the practical question driving this thesis: What are the key components and key interdependencies in innovation strategy and system for a decentralized company? This section builds a conceptual bridge. It begins with corporate and business strategy, establishing what strategy is, how it forms, and how the tension between top-down control and bottom-up emergence plays out across organizational levels. It then narrows to innovation strategy specifically, arguing that innovation requires its own strategic frame. Together, these two subsections establish what an innovation strategy must do and what existing frameworks assume about the organizational conditions required to do it; assumptions that do not hold in the case examined in this thesis.

2.2.1 Corporate and business strategy

Strategy shall ensure the achievement of a company's objectives. Therefore, it is a plan and commitment to mutual policies and behaviors designed to aim at these goals [14, 15]. Noda and Bower define strategy further as "[…] the outcome of continuous, incremental confidence building, […] manifesting in iterations of resource allocation rather than formal, explicit statements of the corporate strategy" [16]. This is in line with Mintzberg's (1987) view on strategy as a complex multi-faceted concept that cannot be limited to a single formal definition [15]. Strategy is seen rather as fluid learning process making the strategist a pattern recognizer, synthesizing experiences and ideas [17].

Other scholars highlight the difference between a plan and strategy. According to them, a plan is deterministic list of actions, resource allocations and budgets, where an input leads to clear output [18], working from today forward rather than from a future vision backward [19]. The most important variables influencing a strategy are out of a company's control, e.g. customers and competitors' actions. Henceforth, strategy is the most educated theory, which moves organizations towards a future vision, defining ambition levels to set scope and risk. But it has to be constantly checked against reality [18].

Strategy can therefore occur in two forms: induced and emergent. In its extremes both can have certain disadvantages. The induced, or deliberate, strategy follows a formal formulation process, realizing intentions. It focuses on control and precludes learning. In contrast, an emergent strategy appears as patterns without any intentions, where actions drive thinking. Local initiatives can become part of the corporate strategy. It allows the strategy to grow by learning and responsiveness. A purely emergent strategy though might lead to a loss of control. "Most successful strategies are "crafted" at intermediate points." [15, 17]. Though Mintzberg (1987) identifies the hybrid of deliberated and emergent strategy as the best approach, his framework remains descriptive. He does not provide any governance mechanisms to balance top-down and bottom-up strategies across organizational levels. This should be viewed critically, especially in decentralized organizations, where emergent strategies must be coordinated across multiple autonomous BUs. It is not addressed how multiple strategists at different levels would interact, implicitly assuming a single actor.

The tension between deliberated and emergent strategy described by Mintzberg (1987) finds empirical grounding in Madsen's (2012) longitudinal case study. Madsen finds that the induced strategy process, top-driven, vision formulating dimension of strategy, is not limited to control and exploitation of existing positions. Rather, innovation strategies are enacted as hypotheses. Strategy is adapted through "induced strategic renewal" (forward looking interpretation of external signals). The process thereby mediates between the internal and external environments of the firm, absorbing bottom-up autonomous initiatives on one side while experimenting with new strategic configurations outward on the other side [13]. This bidirectional learning function dissolves the rigid dichotomy between top-down control and bottom-up emergence, suggesting instead that strategy is most accurately understood as a cycle of hypotheses and feedback operating across organizational levels. However, Madsen's (2012) model retains a critical assumption: a unified corporate center with sufficient authority to formulate, fund, and importantly, terminate strategic experiments. This assumption does not hold in highly decentralized organizations where authority is distributed across autonomous business units, a condition present in this thesis.

The discussion about induced and emergent strategy raises the question: How much bottom-up vs top-down a strategy should be? If a strategy is forced on the employees and they do not understand it, they will give low priority to the strategy as they were not included in the formulation process. This may even lead to passive sabotage of the strategy. In the same way absolute decentralization of strategy formulation leaves managers with a fragmented organization focusing on hyper localized.

Personal goals and decision making can become highly political. For a valid strategy grounded to market reality and psychological ownership Carbonell and Rodriguez (2016) recommend an optimum around a 50/50 approach of top-down and bottom-up strategy. This also depends on the culture, how comfortable employees are with ownership or if they need more guidance. [20]

Rana et al. (2025) argue for the necessity of strategy being flexible. Strategic flexibility therefore is the structural capability to deal with environmental changes and how effectively resources can be reconfigured and new capabilities proactively developed. This flexibility needs according to them be paired with strategic innovation, which means all innovation actions must be aligned with the company's strategy. If these two concepts are disconnected innovation "dies", as the organization cannot align newly created innovations with its existing strategic direction and operational structures [21]. For example, a new development of the R&D department cannot be implemented because manufacturing is lacking the necessary capabilities. This may occur due to insufficient alignment between strategic innovation and flexibility.

Understanding strategy as a hybrid of deliberated and emergent processes occurring as a cycle of tested hypotheses suggests that innovation cannot be simply embedded as a line item or growth target into the corporate strategy. Innovation requires resourcing activities whose returns are uncertain and whose timelines extend beyond annual planning cycles; it demands a portfolio logic balancing exploitative and explorative activities; and it needs risk tolerance, that general strategy might not accommodate. These factors cannot be captured in single financial targets. For these reasons innovation may require its own strategy, governing what general strategy cannot. What innovation strategy contains is subject of the next section.

2.2.2 Innovation strategy

The Innovation Management Standard recommends establishing one or more innovation strategies. Innovation strategy helps companies to boost their performance through innovation. But the innovation strategy must be grounded in the corporate strategy [22, 23]. According to Ferreira et al. (2015) higher innovation performance can be achieved if companies share and foster the goals of their innovation strategies [24]. The idea of an innovation strategy is to express the purpose of innovation activities, objectives and how to achieve them [23]. Innovation can therefore benefit from having its own mission, vision and values [2]. It should also be specified how different types of innovation fit into the business strategy and how the resources should be allocated to these types [14]. To be in line with the corporate strategy innovation strategy should also define the competitive landscape, find ways for distinctive value creation, determine existing and lacking competencies and establish a management system to evaluate the strategy's effectiveness [25]. Furthermore, aligning day-to-day project and portfolio decisions with strategy is proven to drive commercial success [20].

The creation of innovation strategy must balance the rigidity of strategy planning and the flexibility necessary for innovation. Co-existing autonomous decision making and strategic planning have positive performance effects. Hence, innovation management needs space for reiteration and adaptation through a combination of flexible and formal strategic planning [26].

To develop an innovation strategy, the expected value creation through innovation for the customer and the company must be set. After that, resources can be allocated to different kinds of innovation. Additionally, the trade-offs between the different interests of every function must be managed, for example R&D's responsibility for exploration against Sales' focus on short-term revenue. Finally, the innovation strategy must evolve as it is a hypothesis tested against reality [14]. Therefore, innovation strategy should not be understood as a fixed set of components to be designed once, but as an evolving series of strategic experiments, shaped by cycles of action and feedback. Following this logic, success would be reinforced through market response while failing elements would

trigger revision. This suggests that an innovation strategy framework should incorporate a revision mechanism, which triggers re-evaluation when internal signals (e.g. BU reporting) or external signals (e.g. market shifts) indicate the current strategy is no longer adequate [13]. Finally, the described mechanism is in line with Rana et al.'s (2025) concept of strategic flexibility, treating it beyond a structural capability as an active learning cycle embedded in the strategy itself.

In detail, strategic innovation is created through the diffusion of configuration in a niche to the mainstream market. Excessive focus on actual customers prevents firms from creating new markets and customers, holding the threat of getting disrupted [26].

Even though the innovation management standard ISO 56001:2024 provides the most comprehensive framework for innovation management systems, it must be evaluated carefully. The standard is designed for unified organizations and assumes central governance. Hence, ISO 56001:2024 does not address how its requirements apply when strategic authority is distributed across autonomous BUs. This gap for decentralized organizations is not acknowledged within the standard.

Reviewing the innovation strategy literature, differences to corporate strategy emerge. Unlike business strategy that plans from a known resource base and defined market position an innovation strategy must deal with more uncertainties. Furthermore, it must govern trade-offs that general strategy cannot resolve, like exploration versus exploitation, short-term earnings versus long-term competitive positioning and individual BU interests versus shared organizational innovation capabilities. Lastly, innovation strategy itself does not produce innovation performance. Defining an ambition, articulating a portfolio balance, and aligning innovation activity with corporate goals are necessary but not sufficient conditions for innovation to occur. Strategy sets the direction; it does not create the organizational capacity to move in it. That capacity depends on whether the culture supports risk-taking and experimentation, whether the system provides coherent incentives and decision rights, and whether resources are structured in a way that makes innovation personally and organizationally viable for the people who must carry it out. These three enabling factors, culture, innovation system, and resource allocation, are therefore constitutive of an innovation strategy effectiveness, and they are examined in the following section.

2.3 Strategy supporting factors

As Innovation strategy was defined as the strategy for all activities and procedures with the goal to create innovation [3, 13], further areas of the business are related to innovation strategy than only the strategy making process. Consequently, innovation is driven by internal and external factors [27]. Likewise, López and Oliver (2023) describe internal, external and funding factors as one of the three pillars of innovation strategy [18]. Looking at the innovation management standard, culture, the innovation system and resource allocation seem to have the biggest impact on innovation strategy. Even a well-formulated strategic intent will fail to change organizational behavior if these conditions that enable innovation are absent or misaligned with the strategy's goals. For this reason, the strategy supporting factors culture, innovation system and resource allocation shall be elaborated in this section. They are the mechanisms through which the strategy is enacted at the operational level.

2.3.1 Innovation culture

A fundamental innovation driver is organizational culture [24]. It is "[…] determined to support innovation, considering the innovation intent, policy and strategy." People working under the organization shall be aware of the innovation intent, policy, strategy and objectives, the meaning of innovation, importance of innovation activities, contribution effectiveness and benefits of an improved innovation performance. Therefore, people must be developed in regard to the innovation system. Additionally, incentives and recognition for and of innovative behavior should be part of the culture. Innovators should be identified and protected. The ISO standard therefore highlights leadership as an important variable to propel innovation [23].

Culture determines whether the behavioral intent embedded in an innovation strategy is internalized by the people who must act on it. But culture alone cannot direct innovative effort toward strategically valuable outcomes. For that, an organization needs a structural set up, a set of processes and decision rights, that determine which ideas get pursued, how they are evaluated, and who has the authority to commit resources to them. That is the role of the innovation system.

2.3.2 Innovation system

The innovation system is "[…] „a coherent set of interdependent processes and structures that dictates how the company searches for novel problems and solutions, synthesizes ideas into a business concept and product designs, and selects which projects get funded." [14]. According to the innovation management standard the innovation system provides the framework for setting the innovation strategy and objectives. The company shall define the scope of the system regarding offerings, processes and operations, organizational structures and functions and geographical locations, as well as the innovation intent [23]. Each company needs to create their own system, as there is no system that fits all equally well nor one that works under any circumstances [14].

The effectiveness of the system itself should be evaluated. A company should define criteria and responsibility for that. Criteria to manage initiatives, processes and the innovation portfolio, such as the number of innovative initiatives and successfully implemented innovations, should be established as well as a controlling based on these criteria. Moreover, the processes must be flexible to the innovation initiatives [23]. Challenges for innovation systems are: required cultural and structural shifts, the complex measurement of innovation performance and the balance of exploration and exploitation [28].

2.3.3 Resource allocation for innovation

As strategy is manifesting in iterations of resource allocation, it plays a crucial part in creating an innovation strategy and an innovation management system. Resources are necessary to enable innovation. According to the nature of innovation, resource allocation has to be flexible and adaptable. It has to be evaluated what external resources are needed additionally to internal efforts. Furthermore, the resources allocated to innovation need to be protected from other activities [23]. In the decision-making process of resource allocation to different innovation projects, projects have to be evaluated carefully. A premature demand for ROI is due to the nature of innovation dealing with uncertainty and the unknown not appropriate. It triggers a false incentive towards incremental and short-term innovation as employees try to protect budgets. The true goal of innovation, creating long term competitive advantage would be lost [18]. Instead, innovation evaluation should also include if new competencies are built or new customers and technologies explored. Besides that more flexible strategic plans are needed as innovation activities cannot be planned precisely [26].

2.4 Summary of the theoretical foundation

This chapter has built the theoretical scaffolding for the thesis across three interlocking areas.

The decentralized organization is characterized by delegated authority and BU autonomy, which offer genuine innovation advantages like local responsiveness, distributed initiative, and the possibility of subsidiary-led strategic contribution. But the same structure creates coordination costs, dominant logics at the BU level that are structurally reinforced rather than individually chosen, and a constraint on what the corporate center can legitimately demand of autonomous units. The work of Goold and Campbell, Prahalad and Hamel, and Prahalad and Bettis together establish that the corporate center's role in a decentralized organization is not to prescribe what BUs do, but to identify and protect shared capabilities that no single unit would sustain on its own, a role that presupposes authority the center may not possess in practice.

The strategy literature reveals that the most effective strategies are neither purely top-down nor purely emergent but crafted at the intersection of deliberate intent and bottom-up initiatives. For innovation specifically, this means that strategy cannot be a fixed plan. It must function as a hypothesis updated by market feedback and internal experimentation, incorporating revision mechanisms triggered by signals from the operational level. Both Madsen's longitudinal model and Rana et al.'s concept of strategic flexibility converge on this conclusion. However, both also assume a unified organizational actor with the authority to formulate, resource, and terminate strategic experiments, an assumption that does not hold in highly decentralized firms.

The three supporting factors, culture, the innovation system, and resource allocation, are fundamental for innovation strategy. Culture determines whether strategic intent is internalized or passively resisted. The innovation system provides the structural channel through which intent becomes action. Resource allocation is where strategy is ultimately enacted: as Noda and Bower argue, strategy manifests in iterations of resource allocation rather than formal declarations. In a decentralized organization where BU-level P&L accountability creates structural incentives against innovation investment, protecting resources for innovation is a governance problem as much as a financial one.

Together, these three bodies of literature converge on a gap: no existing framework addresses how innovation strategy forms in a decentralized network of autonomous units, where central authority is structurally bounded, BU dominant logics are structurally reinforced, and the governance mechanisms that centralized frameworks take for granted are simply not available. That gap is what this thesis sets out to address.

3 Methodology

Chapter 3 describes the methodology chosen for this thesis. First the research setting will be described, before the form of data collection and validation will be elaborated. Finally, it is stated how trustworthiness and ethical execution of the methodology were ensured.

3.1 Research Process

The figure below shows the steps conducted in order to carry out this research. The methodological process is divided into 3 phases: Pre-study, focused-study and validation. The pre-study consists of a literature search and a first round of internal interviews. As the company assignment to improve the innovation capability was rather broad, an explorative research design was chosen for this first phase. Together with supervisor guidance the resulting problem spaces from the interviews and the identification of a lack in the literature research led to the research question. Setting the research question initiated the second phase, a focused-study on the research problem. Literature was reviewed targeted to strategy respectively innovation strategy and supporting factors like innovation systems. Based on this theory analysis a second round of interviews, as external case studies, was designed. In figure 1 is visualized how the iterative, abductive coding process of these interviews was done. The results of these two phases were validated in the next phase. Based on the data and theory a framework was developed to answer the research question and give practical implications to the case company. The data and framework were then validated in internal workshops at company X. The output of these workshops was used to refine the framework.

An abductive, multi-phase qualitive design was chosen for different reasons. First, the topic of innovation strategy and especially how it forms in a decentralized organization is under-researched. There is no existing framework providing testable propositions, which does not support a deductive approach. Second, the case study design was chosen to look deeper at the underlying problems, rather than a survey that would call for predefined categories that have not been revealed at the outset of this study. All in all, this research design prioritizes theoretical depth over statistical breadth with the goal of creating analytically transferable propositions instead of generalizable measurements.

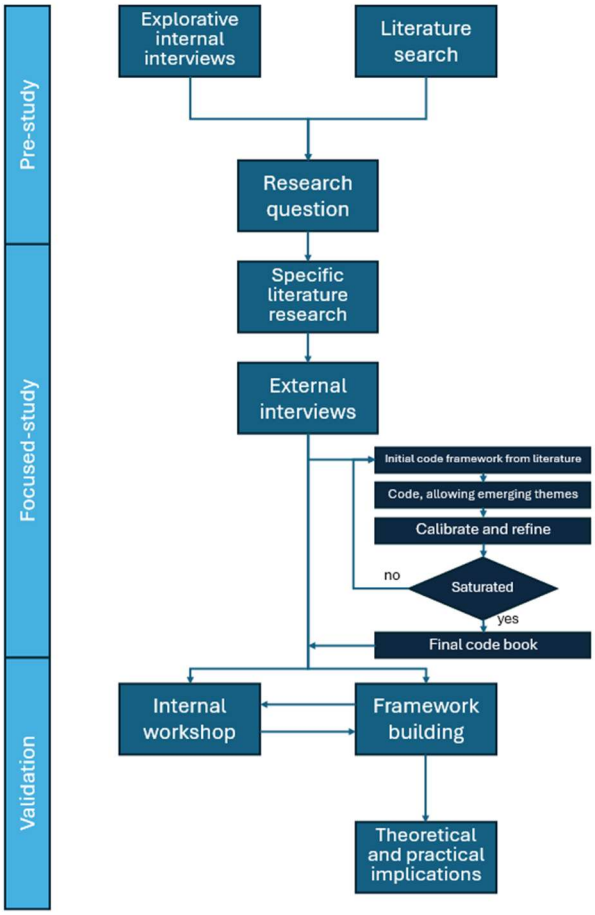


Figure 1: Research process

This figure shows the process of methodology that was followed to conduct the study. It is separated in 3 phases.

3.2 Data Collection

The data collection consists of a mixed-method approach of internal and external interviews, internal workshops and document screening. In this section the methods will be described in detail, how participants were selected and the execution of the method. Furthermore, the methods will be assessed from an ethical perspective.

3.2.1 Internal interviews

At the start of the pre-study explorative interviews were conducted. These were run as semi-structured interviews with the intend to reveal problems and obstacles related to innovation. A broad interview guide on various topics was created to lead the interview, but the discussions were purposely kept open, without trying to answer every single question.

The choice of participants was made by purposive sampling. It was attempted to cover a broad spectrum of the organization, especially roles directly working with innovation. In the table below an overview of the interviewees can be found.

Table 1:Interviewees pre-study (internal interviews) within company X to identify general innovation related problems.

Role	Organization	Description
BU manager	Brand 1	Leading a BU. Responsible for strategy and profit & loss.
Business developer	Brand 2	Regular employee within a BU
Innovation manager	Brand 1 Brand team	Transversal support role for BUs under their brand
Innovation manager	Brand 2 Brand team	Transversal support role for BUs under their brand
Innovation manager	Brand 3 Brand team	Transversal support role for BUs under their brand
Innovation lead	Regional head quarter	Central support role advising BUs
Seed program manager	Incubator hub, central group	Support BUs of all groups in innovation and start-up collaboration

The interviews were recorded and transcribed. To analyze the interview data an inductive coding approach was used. In this way a data structure was constructed following the idea of Gioia (2013) categorizing the evidence from the interviews in themes and overarching dimensions. [29] The data structure was captured in an excel file. Some of the codes and themes were developed with the use of generative AI. The identified dimensions gave the indication of problem spaces related to company X's innovation activities. Based on these problem spaces the second literature review was conducted. These problem spaces also built the foundation for discussions with supervisors, what lead to the formulation of the research question.

In addition to the semi structured interviews, unstructured interviews were performed constantly at the national headquarters with the supervisor and the innovation director. These interviews gave deep insights into the working procedures and culture of company X. On top of that the interview findings were discussed to identify alignment of the central management with the data collected.

3.2.2 External interviews

As the research question was set, it was decided to gather data from outside the company on innovation strategy practices. This part of the data collection was carried out as smaller case studies, in the form of external interviews. The interview data complemented the literature search direct towards the research question to build a framework fitting the thesis' case.

For the external data collection 3 companies participated in the case studies. The companies are from different industry sectors and have dissimilar organizational structures. Also, the roles of the interviewees varied. The detailed case overview can be found in the table below.

Table 2: Interviewees external interviews

Company	Sector	Interviewee role
Company A	Energy / industrial technology	Segment Lead, former R&D background
Company B	Telecommunications	Head of Product Platforms, reports to CIO
Company C	Engineering management consultancy	Head of Innovation, ISO 56001 committee member

All interviews were conducted as semi-structured interviews and as online calls. The audio of the interviews was recorded and transcribed in Microsoft Word. To lead the interview an interview guide was created, that contained questions focused on innovation strategy and related fields. The interview guide was reviewed with the corporate and academic supervisor. In contrast to the pre-study the guide was followed more strictly but left room for exploration and probing. After conducting all interviews, they were analyzed in an abductive way. Realizing this approach, a codebook was created formalizing 5 categories with sub themes deducted from literature:

1. Strategy generation process
2. Governance and autonomy
3. Innovation culture and enabling conditions
4. Resource allocation
5. Innovation system and processes

Additionally, 10 emerging codes were generated. The detailed codebook can be found in appendix A.

3.2.3 Internal workshops

In the third phase of the thesis, the findings from the pre-study, external interviews and the literature review were validated in two separate but complementary workshops. The workshops were used as information exchange. On the one hand results from the pre-study and the external interviews were presented and discussed. On the other hand, participants contributed with own perspectives and ideas to the final results of the thesis. As well as before, participant selection followed purposive sampling. The two workshops were divided by employee roles. Each workshop was run with two participants as seen in the overview below. In workshop 1 two Business Unit Managers (BUM) from two different brands participated. In workshop 2 participated central management represented by the Innovation Director (ID) and the Managing Director (MD).

Table 3: Overview workshop participants, purposively sampled to avoid hierarchy conflicts during the workshops.

	Role	Organization
Workshop 1	Business Unit Manager	Brand 1
	Business Unit Manager	Brand 2
Workshop 2	Innovation Director	Regional head quarter
	Managing Director	Regional head quarter

The method of sampling was chosen to prevent influence on participants by hierarchy, avoiding conformity and authority bias. Furthermore, it shall reveal alignment or misalignment of central managers and BU managers.

The workshop was run in three sections. In the first section participants were asked to rank a set of innovation barriers deducted from the pre-study. It was given the opportunity to add barriers to possibly catch obstacles not revealed in the pre-study. The next part of the workshop was a strategy creation exercise. Participants were asked: “If you were responsible for designing your company’s innovation strategy, what would you focus on?” To achieve more specific results and support the participants, they were prompted with statements/categories about what could be part of innovation strategy. This way they would be more anchored towards the strategy supporting factors studied in this Thesis. The goal of this exercise is to reveal implicit strategy logic and differences across hierarchies. The last part of the workshop consists of a discussion. Improvement actions as a result of the pre-study and focused study have been proposed to the participant to collect feedback on their relevance and usability for the organization from both perspectives (BU management and central management).

3.2.4 Documentation

Internal company documents were collected and analyzed to complement interview and workshop data. These included strategic presentations, onboarding materials, internal executive communication, and corporate culture documents. Such materials provided valuable background on the organization’s formal structure and processes, strategic intentions, and communicated values. The documents were selected for their relevance to the study’s focus on strategy.

3.3 Assessing reliability and validity of the data collected

The reliability and validity of this study are assessed based on four widely established criteria in qualitative research: credibility, transferability, dependability, and confirmability [30].

Credibility

Credibility was pursued through three complementary mechanisms. First, triangulation across four distinct data sources (internal interviews, external interviews, internal workshops, and documentary review) allowed cross-verification of findings, reducing the risk that conclusions reflect the logic of any single method or informant group. Where findings converged across sources, confidence in their robustness was strengthened; where they diverged, the divergence itself became analytically significant. Second, member checking was operationalized through the workshop phase, where findings from the pre-study and external interviews were presented directly to practitioners, both BU managers and central management, who were invited to confirm, challenge, or extend the researcher's interpretations. Revisions to the emerging framework were made in response to this feedback, ensuring that the analytical constructs remained grounded in the participants' experienced reality. Third, peer debriefing was conducted continuously through supervision meetings with both the academic and corporate supervisor, providing an external check on emerging interpretations and surfacing potential analytical blind spots before conclusions were finalized.

Transferability

Qualitative research does not seek statistical generalization to a population but rather analytical generalizability, the development of theoretical constructs sufficiently robust to travel across contexts. Transferability in this study is supported in two ways. First, thick description is provided

throughout the thesis: the organizational structure of company X, the roles and hierarchical positions of all informants, the specific barrier ranking data, and the verbatim quotes from workshop participants are all reported in sufficient detail that a reader can assess the structural and cultural conditions under which the findings were produced and judge their applicability to comparable organizational settings. Second, the deliberate inclusion of external case data from three companies across different industry sectors and organizational structures, rather than a classical single-case design, extends the conceptual reach of the findings beyond company X. The cross-case analysis generates theoretical propositions, most notably the Structure-Authority Legitimacy Framework, at a level of abstraction that makes them applicable to any highly decentralized organization navigating the tension between central innovation intent and distributed operational authority. The study's delimitation to the Swedish sub-organization of company X is acknowledged as a boundary condition on transferability, particularly regarding findings that may be shaped by Swedish organizational culture and flat hierarchy norms.

Dependability

Dependability, the stability and consistency of the research process, was maintained through a documented and auditable methodological progression. The research followed a three-phase design moving from an explorative pre-study through a focused external case study to a validation workshop phase, with each phase's design shaped by the findings of the preceding one. This sequential logic is made explicit in the research process figure and constitutes an inquiry audit trail, allowing the methodological decisions taken at each stage to be reconstructed and scrutinized. Participant selection across all phases followed purposive sampling directed by theoretical relevance rather than random selection: informants were chosen to maximize vertical coverage of the organizational hierarchy and, in the external interviews, to ensure variation in industry sector and governance structure. Protocol flexibility was exercised and documented: the internal interview guide was deliberately open and exploratory in the pre-study phase, while the external interview guide was more structured and theory-directed following the formulation of the research question. The shift in analytical approach from inductive coding in the pre-study to abductive coding in the external interviews is likewise documented, reflecting the study's progression from problem identification toward theoretical development.

Confirmability

Confirmability, the requirement that conclusions be transparently grounded in the data rather than in the researcher's prior assumptions, was established through a strict separation of informant voices and researcher interpretation throughout the analysis. First-order findings, the informants' own terms and direct quotations, are consistently distinguished from second-order theoretical constructs in the results chapter, allowing the reader to trace the evidential basis for each analytical claim. The coding process was made explicit through a structured codebook formalizing five deductive categories derived from literature alongside emergent codes generated inductively from the data, providing a documented data structure showing the progression from raw interview material to abstract theoretical dimensions. Verbatim transcriptions of all interviews and workshops were retained as the primary record, and the use of generative AI in the initial pre-study coding phase is disclosed as a transparency matter: AI-assisted code suggestions were treated as first-pass prompts reviewed and validated by the researcher before inclusion, and no theoretical conclusions were drawn from AI output independently of researcher judgment. The overall analytical chain (from informant quote to first-order theme to second-order category to theoretical dimension) is made visible in the data structure tables presented in the results chapter, ensuring that the framework components proposed in the discussion chapter can be traced back to specific empirical evidence rather than appearing as unsupported assertions.

4 Results and Analysis

In this chapter the results of the Interviews and workshop will be presented and analyzed. The results of the external case study and workshop are structured after the theoretical foundation established in chapter 2.

4.1 Pre-study

The pre-study results built the base for the further research design. The 7 interviews across different organizational levels (Central function, BU manager, BU operations, brand team and group level incubator) were analysed in an inductive way following a Gioia structure. The interviews aimed to identify existing problem spaces in the company's innovation system prior to the external interview study and literature review. The analysis resulted in the eleven following dimensions: cultural patterns and mindset, innovation type, innovation process, innovation support, AI, strategic direction, barriers, risk attitude, knowledge sharing, tools & methods and evaluation. The findings are presented dimension by dimension below.

Table 4: Inductive dimensions related to innovation in company X from the 7 pre-study interviews across diverse roles within the case company.

Dimension	Theme	Dimension	Theme
Cultural pattern and mindset	Innovation clarity	Barriers	Resource constraint time
	Innovation identity		Resource constraint budget
	Innovation as extra activity		Resource constraint people
	Fear of innovation term		Innovation mindset
Innovation type	Incremental	Risk attitude	Risk aversion
	Radical		Risk management
Innovation process	Innovation process	Knowledge sharing	Network
Innovation support	Support activities		Centralization
	Use of support		Tools and methods
AI	AI potential	Innovation Tools and methods	Innovation Tools and methods
	Governance gap	Evaluation	Business case central
Strategic direction	Client driven logic		Replicability
	Growth		Flexibility
			Evaluation logic

Cultural pattern and mindset

A consistent finding across the 7 interviews was the lack of a shared definition of innovation within the organization. The overall conception of innovation is inconsistent across the different interviewees. The role of being a technology integrator rather than a classical R&D company limits the perceived innovation scope of the organization. Additionally, innovation is perceived as an extra activity done when operational time allows it. Even the word “Innovation” itself provoked discomfort for certain employees, even though actions were taking trying to demystify the term.

Innovation type

Over all levels of the organization incremental innovation dominates. At the BU level it is almost entirely client driven and reactive. There are few proactive innovation efforts. The brand and support function emphasizes replicable and scalable solutions, that create value across the organization rather than in one single BU. Radical innovation on the other side is rare and described as less likely to get funding. However, there was a notable contradiction on a two-year group backed project, revealing funding possibilities if the idea is convincing enough. This differs from the general description of the organization as risk averse and prudent. Furthermore, it shows the gap between possible room of action and general perception of what is possible. What becomes clear within this theme, is that there is no set innovation ambition, portfolio balance.

Innovation process

There is no coherent process across the organization. At BU level processes are informal and reactive driven by individual initiative, not structured methodology. The BUs do not have dedicated innovation roles, and the process depends on the project. At the support function structured processes emerge including innovation board, evaluation frameworks and pitch processes. Overall, the process remains informal and human, with and increasing structure relating to corporate centre proximity. This increase in formality at higher levels did not translate to more clarity at BU level yet, who are often unaware of certain support structures.

Barriers

Three categories of resource constraints were identified. Time is the primary bottleneck. Interviewees consistently reported that innovation is displaced by operational demands. Freeing people from billable project work to work on innovation is one of the biggest structural barriers.

The second constraint is budget. The profit and loss responsibility of BU managers discourage spending on innovation activities. Furthermore, the annual budget planning sets a perceived rigidity to the budget, limiting flexibility to invest in innovation. Although, the budget planning and committed goals can theoretically be quarterly adjusted. Additional funding options can be raised from the central organization and the brand teams. There are no formal figures on the amount of this funding though. Moreover, support during development is uneven across BUs and regions and ambiguous on what can get supported besides only financial funding.

The third constraint are the people. One issue described is the attraction of young talent and commercially oriented profiles. So it happens that engineers reaching the proof-of-concept stage lack the go to market skills to implement an idea.

Finally, the innovation mindset was named as underlying barrier. A considerable amount of people does not see innovation as part of their role. According to one interviewee the missing innovation mentality would be one of the core issues.

Risk attitude

The organisations risk stance is consistently over all organizational levels described as prudent, by the interviewees. At BU level, risk aversion is structurally driven by P&L responsibility. BU managers are reluctant to commit resources to activities that could damage their unit's financial

performance. At brand and support function level, risk is acknowledged as a natural component of entrepreneurship but is expected to be reduced through structured evaluation before commitment. In the same way practical and low risk innovation is the incubator's primary focus. The observation of the company's risk tolerance is contradicted by one of the brand managers saying: "[…] we're allowed to make mistakes, because we have such strong financial backing from the group […]". They were giving an example of a group backed multi-year test period. This leads to the conclusion that there is a perception gap between what is structurally possible and what is believed, is allowed. However, it should be mentioned that this example seems to be a rather rare case. On broader experience such cases appear to be very limited. While this kind of flexibility is theoretically possible, it's uncommon in practice considering the number of BUs.

Knowledge sharing

Knowledge sharing remains a significant challenge in the organization. Cross-BU collaboration usually only happens when it is perceived as mutually beneficial. Furthermore, there is weak visibility of what innovation work is done within the network. "Reinventing the wheel", duplicating work, is described as a common problem. Structures at central level for cross-BU knowledge exchange exist, but certain tools remain underused because immediate value is not seen by the BUs. Overall, the network is perceived as a strong innovation ecosystem, but creating visibility and exchange remains challenging. Centralized platforms are identified as a need. Partially there have been local initiatives, of which some failed. However, the broader landscape of tools and overlapping responsibilities across levels creates confusion rather than clarity for the BUs to navigate support options.

Strategic direction

The strategic direction in the organization is partially centralized. BUs' innovation direction is almost entirely driven by client demand with little evidence of proactive positioning. Brand teams create strategic innovation focus areas and trend-scouting as top-down impulses, while the incubator provides the most forward-looking orientation through group-level foresight and technology exploration. The organization pursues a growth strategy that is approximately equally divided between organic expansion and acquisitions, creating challenges in integrating the innovation capabilities of newly acquired entities.

Evaluation

The Evaluation logic of innovation projects becomes more sophisticated at higher organizational levels. In general, but particularly at BU level, simple business case logic dominates, decisions are made on business potential and competitive edge, assessed case by case. At brand level, more complex multi-criteria frameworks are applied, including viability, feasibility, replicability, and sustainability dimensions. At incubator level, market relevance and operational impact are the primary criteria. The pattern is that evaluation frameworks are more developed and more explicit at higher organizational levels, while BU-level evaluation remains informal and primarily P&L-driven. A tension between the need for agility and the need for structure is explicitly named by a senior interviewee, and the replicability of innovation across the network (its potential to create value at the group level rather than only within the originating BU) is identified at the center and brand level as a key criterion that BU-level managers do not typically apply to their own projects.

Summary of pre-study findings

The pre-study identifies eleven interconnected problem spaces in the case company's innovation system that motivates the research questions of this thesis. First, the absence of a shared innovation definition creates systematic misalignment between what different organizational levels consider worth pursuing. Second, no explicit innovation ambition has been articulated. The portfolio balance between incremental and radical innovation is unmanaged. Third, the innovation process is

informal, fragmented, and invisible across organizational levels, with BUs largely unaware of available support structures. Fourth, resource constraints, particularly time and the P&L accountability structure, systematically suppress BU-level innovation experimentation. Fifth, a risk perception gap exists between the structural risk capacity of the group and the risk tolerance experienced by BUs, with no mechanism currently bridging the two. Sixth, knowledge sharing across the network is weak, and the reinvention of solutions already developed elsewhere is common. Consistent with the concept of dominant logic, the BU-level orientation toward client-driven, P&L-protective work is not a set of individual attitudes but a structurally reinforced cognitive frame. Together these findings indicate that the case company faces not a local or project-level innovation problem, but a strategic and systemic one: The absence of a coherent innovation strategy that spans the organization’s decentralized structure.

4.2 External case studies

The findings of the external interviews were cross analysed according to the codebook. Furthermore, it was examined where the practical findings align with literature and where they extend or contradict it. An overview of the results can be found in the table below.

Table 5: Result overview of the external case study comparing the data from company A, B and C across the dimensions derived from the theoretical foundation and strategical implications.

	Strategy Generation	Governance & Autonomy	Innovation Culture	Resource Allocation	Innovation System & Process
Company A	Combines top-down strategic priorities with bottom-up R&D initiatives; uses external KPIs (e.g. energy prices) to time market entry, a quantitative, hypothesis-like approach to strategic adaptation.	High autonomy for incremental innovation; radical 'big bets' require CTO board approval, creating a governance bottleneck for higher-risk decisions.	Innovation is positioned as belonging to everyone, not only R&D; leadership commitment is emphasized as indispensable for sustaining innovation activity.	R&D budget is funded via a revenue-linked tax; portfolio ratio ambition exists but is not translated into managed targets, a gap between stated intent and practice.	Idea-triggered stage-gate process; innovation performance tracked informally through market share and hit rates; IP reviewed as a strategic checkpoint.
Company B	Centrally defined focus areas serve as guardrails; local teams act freely within boundaries; global scalability determines which local initiatives are elevated to strategy.	Content guard rails, focus areas constrain scope while preserving operational freedom; local initiatives must demonstrate scalability before central endorsement.	Flat Swedish organizational culture contributes to openness; slightly risk-averse culture acknowledged.	Protected innovation 'bucket' fixed in annual budget cycle but deployed flexibly; no formal portfolio ratio measurement; relies on external funding and publications as proxies for innovativeness.	Problem-first process: starts from business problems rather than ideas; actively rejects idea-count as a KPI; performance relies on external signals rather than internal measurement.
Company C	Iterative, internally driven strategy cycle: regular reviews refine strategy based on accumulated learnings; metered funding mechanism funds projects by stage, enabling flexible resource deployment.	Full content authority delegated to BUs; central function operates as an enabling, non-mandating layer. The most decentralized governance model among the three cases.	Employee ownership is cited as a key driver of intrinsic innovation motivation; financial incentives explicitly rejected as divisive; culture described as taking decades to change.	Budget fully distributed to BUs, weakening structural protection against P&L pressure; budget deliberately not measured in detail to prevent cuts; gap between stated ambition and managed practice.	Challenge-led process that also accepts open ideas; measurement avoided to prevent compliance-flight ('they all run away'); stage-gate logic with metered funding replaces rigid milestone control.
Strategy Implication	Strategy must be treated as a testable hypothesis updated by market signals and internal learning, not a fixed plan.	The legitimate authority of the center is calibrated to the degree of decentralization, prescribing, guiding, or enabling.	Culture cannot be programmed; strategy must work with existing culture and create visible innovation examples rather than launch change programs.	Innovation budget must be structurally protected from P&L pressure; portfolio ambition should be a rough guardrail, not a managed KPI.	Measurement must not be so structured that it drives compliance-flight; evaluation criteria should include strategic and exploratory value alongside ROI.

4.2.1 Governance and autonomy

Extending the literature on organizational autonomy in relation to innovation, the data shows that autonomy is not binary but rather depends on the innovation type, confirming it as a constrained freedom. So, company A allows high autonomy on rather incremental innovations while radical ones need central, top management approval. Company B follows an approach of content guard rails, focus areas within which teams can act freely, but local initiatives are constrained by global scalability. Company C allows total content authority to the BU. The data suggests that a universal governance framework from e.g. the innovation standard cannot be used but must be calibrated to the organizational structure, depending on the degree of decentralization. In the cases examined it seems to become softer as the autonomy is higher.

A problem occurring in all three organizations is the struggle of consistent, accountable decision making, especially for radical innovation. Company A requires CTO board involvement for “big bets”, creating a bottleneck. Company C names explicitly, that budget holders avoid committing to innovation funding, because personal downside risk outweighs the upside. This results in off-the-book funding and gate delays. A structural problem like this is not addressed in innovation governance literature. It suggests that decision-right frameworks must address personal risk calculus of deciders.

4.2.2 Strategy generation process

All three case companies show mechanisms of induced and emergent strategies. This is in line with the literature that neither a purely top-down nor bottom-up strategy making process is beneficial. Though the ratio between top-down and bottom-up approach varies in each company. This reinforces that the right ratio is individual and cultural dependent.

The treatment of strategy as a dynamic, testable construct is evident across the case companies, though the mechanisms differ. In Company A, monitoring external KPIs, such as energy price developments, to time R&D activities was observed as a quantitative, market-anchored approach to strategic adaptation, implying a hypothesis-like logic. Company C, by contrast, employs a more iterative and internally driven cycle, regularly reviewing and refining the strategy based on accumulated learnings from ongoing innovation initiatives. It extends the literature findings by having a metered funding mechanism in place. This process allows them to be more flexible in the resource allocation, by funding projects according to their stage. Both approaches reflect Rana et al.’s (2025) call for strategic flexibility [21], but operationalize it through distinct mechanisms, one responsive to external market signals, the other shaped by internal experimentation cycles

Another finding is that processes, language, tools, and governance are structurally separated from challenges, ideas, and resource allocation decisions. As more decentralized an organization acts the more it separates the “How” to innovate from the “What” to innovate. The “How” is mainly centralized and, depending on business unit autonomy, rather a proposal of best practice, while the “What” is most freely and, in some cases, completely decided by the BU.

4.2.3 Innovation culture and enabling conditions

All three companies are reporting pre-existing strong innovation culture. Company C highlights "culture takes decades to change actually, not months or years” and emphasizes building on existing culture. Furthermore, the engineering consultancy sees employee ownership as a driver of intrinsic motivation to be innovative. The flat organizational culture in Sweden is described as contributor belongs by company B. Company A adds that innovation is belonging to anyone, not only R&D. Company C explicitly rejects financial incentives as divisive as it could be unclear who really drove an innovation initiative.

Contrasting to literature, the case studies highlight a distinction between psychological safety of individual contributors and decision makers/budget holders. In all three companies individual contributors felt relatively safe. Budget holders seem to feel more unsafe. Company C describes failure attribution to decision makers as barrier to openly investing in innovation. Slightly risk adverse culture (Company B) and fear to speak to higher management (Company A) would be seen as innovation killer.

The ISO standard highlights leadership as an important variable driving innovation. All three interviewees support this statement. Executive commitment to innovation strategy is therefore seen as indispensable. Company C is adding that the personal legacy of managers is another driver for innovation, that has not been named in literature. Furthermore, building capability through training alone can be found as insufficient according to the interview data, that emphasizes experimental learning and cultural embedding, by hiring according to values.

4.2.4 Resource allocation

All interviewed companies align with literature's recommendation to separate funding for innovation and operation. The execution of this practice is done differently across the case companies. Company A creates an innovation budget through a R&D tax in relation to its revenue. Company B has a protected "bucket" that can be used for innovation. It is fixed in an annual budget cycle and can be deployed flexible. Company C has a set budget for innovation but it is fully distributed to their BUs, acknowledging it weakens the structural protection of the budget. As a result, the budget is not measured in detail to avoid cuts. Additionally, in a decentralized organization it is exposed more to short term P&L (Profit and Loss) pressure. Company C statements show missing implications in the literature, that states budget for innovation needs to be protected but does not suggest how to do that in a decentralized model.

Portfolio balance targets are perceived as rough guidelines by the interviewees. Company A and C have a ratio ambition, but it is not translated into managed targets. They just state it is roughly in that area. Company B does not formally measure a portfolio ratio of innovation types. In conclusion all companies show a gap between stated ambition and managed practice that is underacknowledged in literature.

Evaluating their innovation portfolios, the studied companies all move beyond pure ROI (Return on Investment) measurement. This follows López and Olivers (2023) critique of premature ROI evaluation on innovation projects. On the contrary, each company adds strategic and exploratory criteria, e.g. created patents, quality and business model alignment.

4.2.5 Innovation system and process

The companies interviewed follow a stage gate process logic. They differ in the trigger of the process. In company A the first step is ideas, while company B starts looking for business problems to solve. Company C tries to steer the process by starting with given challenges but also accept open ideas.

Regarding measuring their innovation performance, the responses are in line with Altun (2025) who describes the complexity of measurement as a challenge. Company C describes the measurement going down as soon as they try to measure innovation: "if you try and measure all the innovation and connect it, they all run away and go under the table." It was highlighted that if a process and strategy is too structured people run away from it. Company A has a rather informal measurement practice looking on market share improvements and hit rates (ideas actually developed to innovations). Company B is not formally measuring its innovation performance relying on awarded external funding and publications as signal for being innovative. Company B actively rejects

measuring the number of ideas as a KPI (Key Performance Indicator). These failed, informal and missing measuring practices are contradicting the proposals of ISO 56001 to measure the innovation system performance. Measurement becomes less of a capability- than a governance- and incentive-problem.

When it comes to defining innovation, all companies are recognizing the creation of value as the discriminator against inventions. What differs is how this value is created. Company A clearly states an innovation is defined by realized market sales. Company B and C keep the definition of value more broad with company B stating any “quantifiable value” is differentiating an idea or invention from an innovation.

4.2.6 Emergent categories

The interviews revealed emergent themes not holistically covered by the created coding book. These emergent categories will be described in the following section.

One emergent code was the role of IP (intellectual property). For company A describes it as a checkpoint in their innovation process, checking if any patent can be generated for different strategic purposes. Company B sees the output of patents as an indicator of being innovative but dissimilar to company A not using it as a strategic decision variable.

Further emergent validation criteria that are mentioned in the interviews are scalability, implied by B and C, and business model alignment highlighted by company C. According to A and C, local innovation that cannot be scaled does not fulfil the value criteria of the innovation definition. This adds an enterprise-level boundary condition to innovation value assessment hat is not specifically addressed in the literature. Business model alignment extends existing evaluation frameworks of desirability, feasibility and viability by a commercial perspective.

A unique theme only named by company A is market timing as a strategy discipline, using external KPIs like price developments to time R&D activities. This extends the literature on strategic flexibility with a concrete quantitative mechanism. Another mechanism to create innovation is intrapreneurship, which can be observed in all three cases. Company A and C have a more organic approach to it, where employees become owners of their ideas. In company B it’s a more structured pitch process partially triggered by innovation competitions.

Decision maker risk aversion is an emergent theme mainly triggered by company C describing that decision makers are avoiding accountability for innovation because of personal downside risk. This threatens to slow down processes and produce under the radar funding.

Another emergent theme is focusing on the organizational dynamics of decentralization and centralization. Company A describes cyclical design change between centralization and decentralization, while company B tries to manage it as an ongoing trade off gated by scalability criterion. Company C on the other hand represents a one-way evolution towards a stable decentralized model. This extends the literature by demonstrating that decentralization is not a fixed organizational design choice but is actively adjusted over time in response to changing contextual factors. Furthermore, the data aligned with literature on organizational ambidexterity showing two path innovation streams. In company A and B there is a split between a central more research focused department and development departments closer to the market. In company C exist an analogue split between internal and external focused innovation projects.

4.2.7 Summary of external case study

Across the three external case companies, a consistent pattern emerges that both aligns and extends the theoretical framework: innovation strategy in practice is neither a fixed plan nor a purely

emergent phenomenon, but a cycle of hypotheses tested against market and organizational reality. All three companies balance top-down strategic intent with bottom-up initiative, though the ratio and mechanism differ, reflecting that this balance is culturally and structurally contingent rather than universally prescribable. Governance of innovation is calibrated to the degree of decentralization, with central authority shifting from prescribing toward enabling as autonomy increases. Resource protection, culture, and measurement each reveal the same underlying tension: what the literature recommends in principle (ring-fenced budgets, portfolio targets, performance tracking) are insufficient in practice when BU-level P&L accountability and decision-maker risk aversion are not structurally addressed. Taken together, the external cases suggest that the missing element in existing innovation strategy frameworks is not a better process model, but a governance logic that accounts for how authority, incentives, and autonomy interact, precisely the condition that characterizes company X.

4.3 Workshops

The final data collection phase consisted of two workshops: one with central management, MD and ID, and one with BU managers. The workshop was designed to validate findings from the pre-study and external interviews and to retrieve practical implications for the proposed framework. Each workshop followed three steps: an individual barrier ranking exercise, a strategy creation exercise, and a structured discussion. The results are presented below organized by the theoretical themes of governance and autonomy, strategy generation, resource allocation, culture and enabling conditions, and innovation system.

4.3.1 Barrier ranking overview

In the first workshop step participants were asked to rank 14 innovation barriers individually from 1 (most pressing) to 14 (least pressing). The barriers were derived from the pre-study findings. Table 7 below displays each participant's rank alongside the overall average (calculated as the mean of all four individual ranks) and the standard deviation across raters. Given the ordinal nature of the scale and the small sample of four participants, standard deviation values are reported without categorization thresholds and used as a relative indicator of spread only. The primary analytical lens applied to the ranking data is the difference between BU managers and central management, represented in the “BU vs Central gap” column. 4 Barriers were highlighted: The barrier with the lowest gap between central and BU management (green), the barrier with the highest gap, which is also the barrier with the highest standard deviation, (red) and the two barriers with the lowest standard deviation (blue), showing agreement between all 4 participants.

In addition to the 14 shared barriers, two participants named additional barriers. BUM1 experienced customer restrictions as their single most pressing barrier. High regulation from certain customers and client contracts structurally limits which innovations are feasible in their market. The ID's most pressing barrier was the absence of KPIs and reporting on innovation. Neither is directly comparable to the shared ranking; both reflect role-specific structural conditions.

Table 6: Result of the barrier ranking from the two workshops. Red showing the highest disagreement, blue the lowest disagreement between all participants. Green shows the smallest gap between central and BU management.

No.	Barrier	BUM1	BUM2	MD	ID	Overall avg	Disagreement (StdDev)	BU vs Central gap	Who is impacted more
1	Resource: time	11	2	1	5	4,75	4,50	3,5	Central
2	Resource: budget	12	1	3	3	4,75	4,92	3,5	Central
3	Innovation ambition not defined	2	8	8	2	5,00	3,46	0	Equal
4	Innovation as extra activity	9	4	2	7	5,50	3,11	2	Central
5	Identity / mindset	6	7	5	6	6,00	0,82	1	Central
6	Idea evaluation	5	3	7	10	6,25	2,99	4,5	BU
7	No formal process	3	5	11	14	8,25	5,12	8,5	BU
8	Resource: people/skills	7	13	4	9	8,25	3,77	3,5	Central
9	Risk attitude / P&L	10	14	6	4	8,50	4,43	7	Central
10	Innovation clarity	4	12	9	13	9,50	4,04	3	BU
11	Tools and methods	8	6	12	15	10,25	4,03	6,5	BU
12	Missing central support	13	11	14	8	11,50	2,65	1	Central
13	Fear of innovation term	15	10	10	12	11,75	2,36	1,5	Central
14	Knowledge sharing gaps	14	9	13	11	11,75	2,22	0,5	BU
15	Customer restrictions	1	/	/	/	Emergent, added by participant			
16	KPI/reporting	/	/	/	1	Emergent, added by participant			

4.3.2 Governance and autonomy

"No formal process" ranks #7 overall but is the single largest BU vs central gap in the entire dataset (BU avg 4.0, central avg 12.5, gap 8.5). While the BUMs rank it as one of the top barriers central managers rank it almost at the bottom. This seems to be a fundamental disagreement about the organization's needs. Interestingly, later in the workshop the BUMs contradict themselves, saying the process is not the problem. This could hint to BUMs wanting clearer mandate and criteria, not necessarily more formal stages and gates.

The risk attitude gap reinforces this structural reading (BU avg 12.0, central avg 5.0, gap 7.0). MD and ID describe BU managers as "intrapreneurs who do not want to risk their bonus." The MD articulates a "we fail together" mentality, yet BU managers' bonuses are cut if committed results are not achieved, including the MD's own. The safety net central management describes does not appear to reach BU managers as operational. This is consistent with Prahalad and Bettis's dominant logic: the P&L-protective behavioral frame has been so thoroughly reinforced by the organizational structure that BU managers no longer perceive risk aversion as an external constraint, it has become the rational operating logic of their position.

An ownership conflict surfaces across both workshops. BU managers locate innovation barriers outside their responsibility (customer restrictions, delivery pressure, P&L structure) and propose structural solutions: assigning someone to innovation, protecting time, integrating innovation into the yearly business plan. They present themselves as willing but blocked. Central management locates the barrier inside BU managers, flagging insufficient entrepreneurial mindset and unwillingness to risk their bonus. The MD assigns responsibility downward: "You should be an entrepreneur. Innovation is part of a sustainable business." This mutual attribution is consistent with a governance model where the center attempts an enabling style while the incentive architecture it maintains functions as a contradicting control mechanism; the mismatch between governance style and incentive design produces a situation where each level correctly describes what it observes from where it sits, without a structural mechanism to reconcile the two views.

4.3.3 Strategy generation

“Innovation ambition not defined” ranks 3rd with no deviation between central and BU managers. It is the only barrier where the groups perfectly align. None of the groups stated any concrete existing ambition for innovation performance. The MD/ID session generated aspirational reframing, "innovation as enabler of People Planet Profit", rather than anything quantified.

The BUM workshop made the current strategy formation mechanism explicit. Innovation direction at BU level is almost entirely reactive and client-driven, with no proactive positioning.

> *"We don't have the money. I need to deliver the result" and BUM1's "*
>
> *– BUM 2*
>
> *"People Planet Profit — sometimes feels like Profit People Planet is more the reality"*
>
> *– BUM 1*

The quotes above describe the operational dominance of financial targets over emergent innovation strategy. The literature's recommended balance between top-down and bottom-up strategy formation is therefore structurally constrained before any cultural or design question is reached. Carbonell and Rodriguez Escudero's findings that decentralization in strategy-making has positive performance effects assumes BUs have the resource access to act on their autonomy. The workshop data consistently shows they do not.

The strategy creation exercise asked participants to describe what they would prioritize if responsible for designing the company's innovation strategy. The results differed markedly between groups. BU managers focused almost entirely on structural enablers. Their proposals were operational and specific, reflecting a group that knows what it would do if the structural conditions permitted it. Central management focused on directional and cultural components. The gap between the two groups' strategy creation outputs mirrors the ownership conflict in section 4.3.2: BU managers designed for structural permission; central management designed for behavioral change. A coherent innovation strategy for this organization would need to address both layers simultaneously. An overview of the proposed strategy elements can be seen in the table below.

Table 7: Strategy proposals from both workshops in comparison.

	Strategy proposals from the workshop
Shared	- context-dependent performance evaluation - make innovation part of day to day business - obligatory reporting (KPI-follow-up)
BU manager	- dedicated innovation role funded centrally - protected budget (not from BU or reduce profit) - innovation integrated as a standing item in the yearly business plan - reward innovation, e.g. award
Central management	- reframing innovation as an enabler of the existing People Planet Profit framework - embedding innovation time in project quotation sheets so the client co-funds it - Create awareness: Definition of innovation - Risk lubrication (financial?) - Recognition for innovation

4.3.4 Resource allocation

Time and budget rank first and second overall. They are the top two barriers by consensus and the finding most consistently confirmed across both workshops. One BU manager rated resource barriers considerably lower than the other participants; their BU performs financially well, which may explain why these constraints feel less immediate in their current context.

The most analytically significant finding on resource allocation is not visible through the ranking alone. Both central managers ranked budget in their top three barriers. In the subsequent discussion they revealed incompatible positions on how to realize it:

"I am convinced it is not good to finance innovation and have a budget on innovation." -MD

"Not having innovation as a budget shows that we don't take it seriously." -ID

The 4th ranked barrier, “Innovation as an extra activity”, was given more structural depth in the 2nd and 3rd exercise. The BUM workshop produced a concrete structural diagnosis claiming innovation

is displaced by billable delivery work, and the organizational model provides no structural alternative.

BU managers were coherent in their ask: protected budget must come from outside their P&L. They cannot simultaneously grow, deliver committed profit, and self-fund innovation. Additionally, they save money for “slower periods”, to keep being profitable in years with low order intake. The structural proposal that emerged directly from the BUM workshop was a centrally funded dedicated innovation role, justified specifically because BU cost pressure makes local funding structurally impossible.

4.3.5 Innovation culture and enabling conditions

“Identity and mindset” ranks 5th with the lowest standard deviation (0.82) of all barriers making it the most consistent finding. Yet the workshop discussions reveal fundamentally different interpretations beneath the surface alignment. BU managers deny it is a cultural problem, stating that employees want to innovate and locate the problem outside themselves. Central management argues that most BU managers are not acting as entrepreneurs, flagging risk aversion as a mindset deficit:

"Nobody is an entrepreneur." -MD

"We have intrapreneurs who don't want to risk their bonus." -ID

The fear of the "innovation" term ranked lowest of all shared barriers, confirming pre-study findings that prior demystification efforts have had effect. However, low lexical fear should not be read as the presence of psychological safety for decision makers. The cultural barrier has shifted from the word to the resource commitment the word implies.

4.3.6 Innovation system

“Idea evaluation” ranked 6th overall, with a gap between BU managers and central management (BU avg 4.0, central avg 8.5, gap 4.5). BU managers experience ROI-first evaluation logic as a more significant blocker than central recognizes. The BUMs agreed on the idea of evaluating projects not soley on ROI but for example learnings and entering new markets. Central managers added to this the return of experience, a measurement applied in a different context. The proposals align with the external case study finding that all three companies had moved beyond pure ROI measurement, and with López and Oliver's critique of premature ROI demands on innovation projects, but in this case alternative criteria have not been operationalized into guidance BU managers can use. Additionally, the idea to evaluate BUs on context dependent KPIs was supported by all participants, to fit the diverse BU situations and environments.

Knowledge sharing ranked last among all shared barriers (avg 11.75, gap 1.0), despite being explicitly named as an operational problem in the BUM workshop: project managers lack understanding of what other BUs are working on, leading to avoidance of certain projects and duplication of work, "reinventing the wheel." The low ranking most plausibly reflects that participants experience knowledge sharing failure as a downstream symptom of the higher-ranked structural barriers rather than a root cause.

4.3.7 Validation of prior findings and proposed framework components

The workshop served a dual validation function: confirming or challenging findings from the pre-study and external interviews, and testing whether specific framework components proposed in this thesis were recognized as relevant and actionable by practitioners.

Validation of pre-study findings

The following problem spaces addressed in the pre-study could be confirmed in the workshop: absence of a shared innovation definition, no explicit innovation ambition, an informal and fragmented innovation process invisible across organizational levels, resource constraints systematically suppressing BU-level experimentation, a risk perception gap between structural capacity and experienced tolerance, and weak knowledge sharing across the network. Resource constraints were ranked first and second by consensus. Innovation ambition was the only barrier with zero gap between groups, both confirmed its absence without producing a concrete alternative. The process finding was confirmed through the ranking gap and the contradiction within the BUM group, which together show the problem is structural rather than a simple absence of stages and gates. The risk perception gap was confirmed directly: central management describes a safety net that BU managers do not experience as real. Knowledge sharing was named explicitly in the BUM workshop despite ranking last, consistent with the pre-study finding that it is perceived as a symptom rather than a root cause. The absence of a shared innovation definition was directly addressed by the central management workshop as first step in their created strategy to create awareness.

Validation of external interview findings

The external interviews identified five analytical categories: strategy generation process, governance and autonomy, innovation culture, resource allocation, and innovation system. Patterns from the external interviews can be recognized, extended, or are notably absent in the workshop data.

The external finding that the ratio of top-down to bottom-up strategy depends on organizational culture and structure finds a more specific expression in the workshops: the BUM group did not debate the ratio at all. Their strategy creation output focused entirely on enabling conditions. The external finding that governance frameworks must be calibrated to the degree of decentralization is visible in the process and risk attitude gaps. This indicates the organization’s mismatch between authority and incentive architecture, which is precisely the miscalibration the external cases warned against.

The external finding that budget holders experience risk differently from individual contributors appears clearly in the ownership conflict and the bonus accountability discussions. The external observation that measurement becomes a governance problem rather than a technical design problem is echoed in ID's personal addition of KPI absence as their top barrier and in the unresolved tension around budget visibility.

The external cases all described some form of organizational ambidexterity, a structural split between explorative and exploitative innovation streams, a finding not visible in the workshops. No equivalent structure was proposed or recognized by workshop participants; the closest was the BUM proposal for a dedicated innovation role, which implies separation but does not articulate a dual-stream logic.

Validation of proposed framework components

Three specific framework components proposed in this thesis were tested implicitly through the workshop discussions and strategy creation exercise:

Protected innovation budget:

Both workshops confirmed the need for dedicated innovation budget. BU managers requested it structurally; protected budget outside P&L is the only mechanism they identified as viable. The MD's quotation sheet proposal offers an alternative operationalization. The MD/ID disagreement confirms the component is necessary but that the mechanism requires resolution before implementation. This finding validates the framework component while exposing the governance precondition for it.

Context-dependent evaluation of BUs:

supported explicitly by all four participants across both workshops. The proposal to apply KPIs that reflect each BU's market environment rather than a single organizational standard was concurred independently in both groups and met with no resistance.

Evaluation of managers on innovation criteria beyond financial results:

partially validated. Both groups agreed that ROI alone is insufficient and that learnings, market exploration, and return on experience should be included as criteria. However, no participant proposed changing the bonus structure itself, the discussion remained at the level of evaluation criteria rather than incentive design. This gap is analytically significant: participants validated the principle of broader evaluation without endorsing the structural change, altered incentives, that would make it operational. The framework component is validated in aspiration; its implementation mechanism remains untested.

Two proposals emerged from the workshops that were not anticipated in the framework as designed. The first is the People Planet Profit reframe, adding innovation as a fourth dimension or as an explicit enabler of the three existing pillars. This emerged from the MD/ID session and represents a low-friction cultural anchoring mechanism that does not require a structural change to implement. The second is the quotation sheet mechanism proposed by the MD: embedding innovation hours as a line item in client project quotations so that innovation time becomes a recoverable cost rather than a margin sacrifice. This operationalizes resource protection without requiring a dedicated budget line, directly responding to the central tension between MD and ID.

4.3.8 Workshop Results Summary

The two workshops, one with BU managers, one with central management (MD and ID), validated and deepened the findings from the pre-study and external interviews, while revealing a fundamental governance misalignment at the heart of the organization.

The barrier ranking showed broad consensus that resource constraints (time and budget) are the most pressing barriers to innovation performance. The single most revealing finding was not the rankings themselves but the gaps between groups: central management and BU managers disagree most sharply on whether a formal innovation process is needed (gap of 8.5), and on risk attitude (gap of 7.0). These gaps are not merely perceptual; they reflect structurally different realities. BU managers operate under P&L accountability that makes risk aversion rational, while central management describes a safety net that BU managers do not experience as real.

Strategy generation exposed that innovation direction at BU level is entirely reactive and client driven. The groups' strategy proposals diverged sharply: BU managers focused on structural enablers (dedicated roles, protected budgets, integration into yearly plans), while central management focused on cultural and directional change (reframing innovation within the People Planet Profit model, embedding innovation hours in client quotation sheets, KPIs). This mirrors the ownership conflict running through both workshops. Each level correctly describes what it sees from where it sits, but no structural mechanism reconciles the two views.

Resource allocation produced the most analytically significant tension: the MD and ID hold incompatible positions on whether innovation should have a visible budget at all. Since strategy ultimately manifests in resource allocation decisions, this unresolved disagreement between leadership is itself an unresolved strategic question.

Culture and incentives revealed that the cultural barrier has shifted at BUM level from lexical discomfort with the word "innovation" to the resource commitment the word implies. Low fear of the

term does not equal psychological safety for budget holders, whose bonus accountability structurally constrains their risk tolerance regardless of stated cultural intent.

Innovation system findings confirmed that evaluation logic is ROI-first at BU level, that knowledge sharing failures are experienced as symptoms of deeper structural problems rather than root causes, and that no participant proposed changing the incentive structure itself, validating the principle of broader evaluation criteria while leaving the structural mechanism untested.

4.4 Overall Summary Results and Analysis

Chapter 4 presents findings across three sequential data collection phases: a pre-study, external case studies, and internal workshops. Each phase progressively narrowing toward the same diagnosis.

The pre-study established that company X faces not a local or project-level innovation problem but a systemic one. The key dimensions that emerged from internal interviews: an absent shared innovation definition, no articulated innovation ambition, a fragmented and invisible innovation process, resource constraints (especially time and P&L accountability) systematically suppressing BU-level experimentation, a risk perception gap between what the group structurally permits and what BU managers believe is allowed, and weak knowledge sharing producing constant duplication of work. Taken together, these findings indicate that the BU-level orientation toward client-driven, reactive, billable work is not a collection of individual attitudes but a structurally reinforced cognitive frame, what Prahalad and Bettis call dominant logic, that suppresses innovation independent of corporate intent.

The external case studies confirmed and extended the theoretical framework across three companies from different industries. All three balance induced and emergent strategy, but the ratio and mechanism differ, suggesting it is culturally and structurally contingent. Governance authority is calibrated to the degree of decentralization: prescribing in more centralized companies, guiding through guardrails in intermediate ones, enabling through voluntary best-practice adoption in the most decentralized. All three companies structurally protect innovation budgets from P&L pressure, yet all show a gap between stated portfolio ambition and managed practice. All move beyond ROI in evaluation, but measurement consistently becomes a governance problem rather than a technical one; too much structure drives compliance-flight. Decision-maker risk aversion emerged as an unaddressed structural problem not covered in existing innovation governance literature.

The workshops validated the pre-study problem spaces and the external interview categories, while adding critical precision. The ownership conflict (BU managers locating barriers outside themselves, central management locating them inside BU managers) is a direct empirical expression of a governance model where the center attempts an enabling style mismatching the incentive architecture. Two practically actionable ideas emerged that the framework had not anticipated: the People Planet Profit reframe as a low-friction cultural anchoring mechanism, and the quotation sheet mechanism as a way to make innovation time a recoverable client cost rather than a P&L sacrifice.

Taken together, the three phases converge on a single conclusion that directly frames the research question. Existing innovation management frameworks assume centralized governance, a unified organizational actor with sufficient authority to formulate strategy, protect budgets, design evaluation criteria, and align incentives. Company X does not have this. Its central function operates with enabling intent but contradicting incentives, producing a mismatch that rationally generates risk aversion, resource underinvestment, and strategic fragmentation observed across all three data collection phases. The problem is therefore not the absence of a good innovation process or the wrong culture, it is the absence of an innovation strategy framework built for the structural condition

of high decentralization, where authority, incentives, and autonomy must be explicitly aligned rather than assumed.

5 Discussion

This chapter interprets and synthesizes the empirical findings presented in Chapter 4 in relation to the theoretical framework developed in Chapter 2. Section 5.1 summarizes the main findings and positions them against existing literature. Section 5.2 presents two theoretical contributions: the Structure-Authority Legitimacy Framework and a new innovation strategy framework for decentralized organizations. Section 5.3 translates these contributions into concrete practical implications for company X. Sections 5.4–5.6 address the study's limitations, directions for future research, and a personal reflection on answering the research questions.

5.1 Findings

The empirical study of this thesis aligns with certain statements from the theoretical foundation established in chapter 2. On other issues the literature was found as insufficient for the researched case.

Mintzberg's (1987) theory balancing induced and emergent strategy was found in all three external cases. The interviewed companies combined both forms and confirm Madsen's (2012) innovation strategy as testable hypothesis, giving a direct implication for the developed framework in chapter 5.3, even though Madsen's model assumes a corporate center able to formulate, fund and terminate strategic experiments. This is not the case at company X. Both, Mintzberg and Madsen, assume single strategic actors. Neither of them addresses how strategy forms over multiple autonomous BUs and there is no unified center with sufficient authority to judge between them. Furthermore, the external cases agree with López and Oliver (2023, 2025) to structurally protect innovation budgets and move beyond pure ROI evaluation. The workshop and pre-study data shows that company X does not have a protected innovation budget and ROI impacts project evaluation heavily. But differently than López and Oliver presume, a decentralized organization does not have an unified actor who can independently design the funding structure.

The central empirical finding of the pre-study and workshops is the dominant logic, as described by Prahalad and Bettis (1986), towards risk aversion. The BU-level P&L-protective behavior is not a cultural attitude but a structurally reinforced cognitive frame. As Young and Tavares (2004) state autonomy requires positive motivation and sufficient resources to trigger innovation. The data aligns with that showing decentralization paired with the wrong incentive architecture can produce the opposite of innovation, rewarding risk aversion and operational delivery. This is a gap between what company X's decentralized organization could deliver and what it actually achieves. The literature states the benefits of decentralized organizations, e.g. local responsiveness, persuasion of market opportunities and distributed initiatives.[7] Furthermore, Jansen et al. (2006) show that a decentralized structure supports explorative innovation as decision rights are closer to the market reality.[8] Even though, company X has this structure it cannot fully utilize its advantages, and exercises BU autonomy in the direction of operational delivery and client-driven incrementalism, because the incentive architecture rewards it.

The ISO 56001:2024 innovation management standard as most coherent innovation management framework was found as only partially applicable. The standard's recommendations on culture, Innovation system, and resource allocation are confirmed as relevant. However, the standard assumes a unified organizational actor and does not address governance in decentralized networks. Moreover, ISO 56001 prescribes measurement of the innovation system performance. The empirical data though shows that formalizing measurement can drive compliance-flight, agreeing with Altun (2025) who highlights the complexity of measuring innovation as a challenge. Measurement can therefore be seen as governance and incentive problem rather than a capability problem, something not addressed by the standard in this way.

Another issue not addressed in the existing innovation governance literature is the decision maker risk aversion, highlighted by company C in the external case study and confirmed in the workshop. Current frameworks assume budget holders will commit to innovation if the strategic intend is clear. The data suggests they might not if the personal downside risk of failure falls on them individually.

5.2 Theoretical contribution

In this section the prior study results were used to create two theoretical contributions. The first outcome is the Structure-Authority Legitimacy Framework, an analytical framework showing the observed relationship between decentralization and authority type. It maps the space within which any company's governance design must operate. The second contribution is a new innovation strategy framework for decentralized companies. It is a guiding instrument specifying what an innovation strategy for a decentralized organization must contain.

5.2.1 The Structure-Authority Legitimacy Framework

The proposed Structure-Authority Legitimacy Framework (SALF) makes a specific theoretical claim, that the degree of organizational decentralization determines the type of authority a central function can legitimately exercise over innovation strategy. This claim has two components. First, authority is not a design variable that management can freely set, it is structurally bound by the degree of autonomy that has been granted to or assumed by business units over time. Second, legitimacy is the operative constraint, that a central function may formally possess authority it can no longer practically exercise without provoking resistance or disengagement from autonomous BUs.

Existing frameworks treat central authority as a design variable. Its either there or not. The studies conducted in this thesis suggest that central authority is not binary but exists on a gradient that is calibrated to the degree of decentralization. In the following figure the structure-authority-gradient is visualized. The figure shows a qualitative diagram, "centralization gradient" on the x-axis and the "Authority type" on the y-axis. The "centralization gradient" shows qualitatively the management structure of a company, from being centralized to being decentralized. Centralized implying a central top-down management structure with low autonomy and authority of the employees, while decentralized describes a company that delegates authority to BUs and lower-level employees. The "Authority type" describes the kind of authority acted by a central management function from instructing to prescribing. Instructing in this case means that lower-level employees receive clear instructions on what to do and how to do it. Proposing on the other hand refer to an authority type that rather gives proposals on how and what to do, sharing best practices.

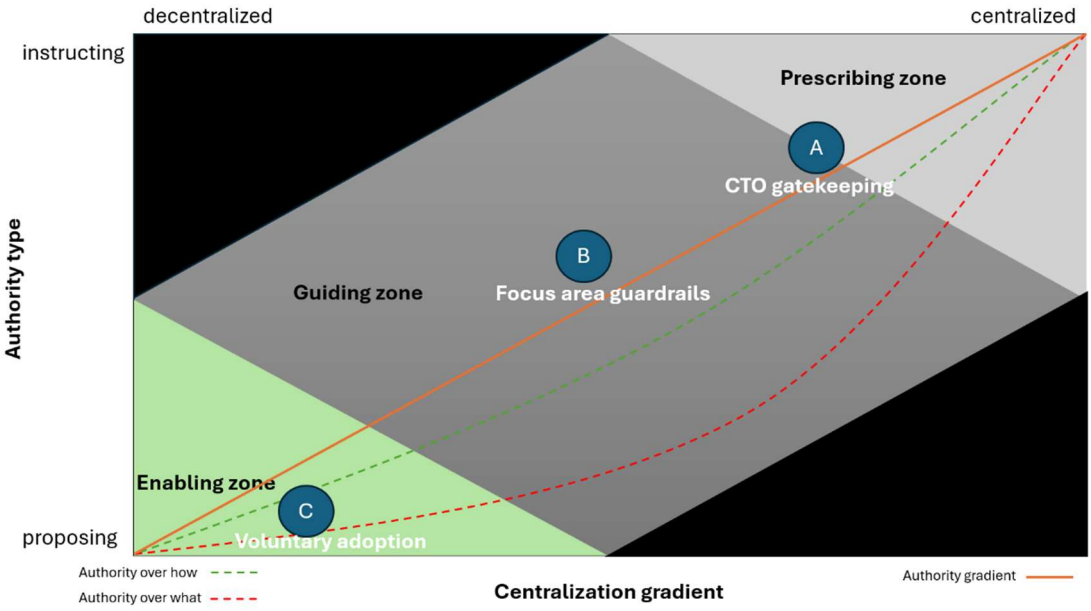


Figure 2: The Structure Authority Legitimacy Framework, describes an organizations qualitive position on a centralization gradient according to authority type in relation to the decentralization.

The framework captures the movement on the authority gradient in 3 zones. The legitimate role of a central innovation function changes qualitatively moving along this gradient; from prescribing in centralized companies, over guiding, to enabling in decentralized companies.

This progression extends the work of Goold and Campbell (1987), who identify three corporate parenting styles (strategic planning, strategic control, and financial control) as design choices available to management. The SALF challenges this assumption of free choice. Where Goold and Campbell treat parenting style as selected, the SALF treats it as constrained: a firm that has evolved toward high BU autonomy over many years cannot simply elect a prescribing style without eroding the organizational trust and BU motivation that the decentralized structure depends upon. The center's legitimate authority has already been structurally bound by the organization's history. The SALF makes this constraint explicit and maps it onto a gradient. This is a meaningful departure from Goold and Campbell's framework, which does not account for the dependency of governance legitimacy.

The data of the external case studies supports this suggestion across all three companies: Company A has a prescribing CTO board especially interfering for the “big bets” and a corporate development function, company B has focus areas that are guiding within boundaries, and company C provides a voluntary adoption framework, enabling without mandates. Depending where your organization sits on the authority gradient it implies how to create the innovation strategy.

The three cases also suggest what drives movement along the gradient. The direction and position of a firm on the centralization axis is not static. Company A describes cyclical oscillation between centralization and decentralization in response to performance outcomes. Company B manages decentralization as an ongoing trade-off gated by the scalability of local initiatives. Company C represents a one-way evolution toward a stable decentralized model shaped by a deliberate cultural commitment to employee ownership. This variation implies that the gradient is dynamic rather than fixed, and that the triggers for movement include performance feedback, cultural evolution, and explicit governance redesign. The SALF therefore should be understood not as a snapshot but as a dynamic evolution. Firms move along the gradient over time, and the legitimate authority type must be recalibrated as they do. The degree of decentralization determines the type of authority the center can legitimately exercise.

The framework extends Prahalad and Hamel's (1990) core competence argument by addressing the condition their model does not examine: what happens when the corporate center lacks the authority to identify and protect shared capabilities across BU boundaries. The SALF answers that in this condition, the center must shift its role from coordination to enabling, providing the structural conditions under which BUs will voluntarily contribute to shared innovation capability, rather than instructing them to do so.

The framework states that the authority over how (green line) decreases slower than the authority over what to innovate (red line). This implies that, as a company moves from the prescribing zone to the enabling zone, the focus shifts from defining what should be done to designing how it should be done. This might not describe the reality for every company. From anecdotes it’s known that strongly centralized companies sometimes set strong focus on what to innovate without controlling how to do it. They might instruct their R&D, for example to develop a certain product, no matter how. This would imply a crossing of the how and what graph in the prescribing zone. Future refinements of the SALF would allow for more precise calibration of the governance mix at each point on the decentralization gradient.

5.2.2 A new proposal for an innovation strategy framework

The special organizational form of highly decentralized companies with autonomous business units calls for a new framework for innovation strategy creation. As the way how decentralized companies work differs essentially from how centralized companies work, existing frameworks are not applicable. For this reason, a new 4 level framework will be presented in this section. It is assembled from the theoretical components introduced in chapter 2 but departs from existing literature at each level where centralized governance assumptions make existing models insufficient.

Level 1: Corporate innovation definition

This is a prerequisite for any strategy formulation. A company shall define what innovation means in their context, for every employee who is expected to contribute to innovation to be understood. This is supported by Wolf et al.'s (2021) definition of innovation strategy as requiring shared goals and guidelines and the pre-study finding stating systematic misalignment across organizational levels caused by the absence of a shared innovation definition.

Level 2: Strategic intent

The strategic intent is a mandatory instruction coming from the central management defining the overall purpose of the innovation strategy. Level 2 is directly grounded in Pisano's (2015) prescription that companies must define what types of innovation and what competitive innovation goals they are pursuing and how to resource them. Ferreira et al. (2015) support this statement by demonstrating that sharing and fostering the goals of their innovation strategy increases a firm's innovation performance. Therefore, three building blocks are part of this level. Firstly, the innovation ambition, through which central management states what the expectations on innovation are and what incremental/radical innovation ratio the company is aiming for. Secondly, the company should define an innovation vision and mission stating the goals and future aspirations of the strategy. Thirdly, goals and ambition should be transferred in growth targets related to innovation, that can be tested against the innovation performance to validate the existing strategy.

Level 3: Enabling conditions

Setting enabling conditions is a crucial part in a decentralized organization. As seen in the SALF the central management's legitimate authority decreases moving towards decentralization. Consequently, a company cannot prescribe what and how to innovate. Enabling conditions are not mandated requirements but structural provisions. The task of a central management unit lays in providing the right conditions to make innovation viable for autonomous actors rather than instructing them to implement certain actions. Corresponding to the strategy supporting factors, addressed by the innovation management standard, these conditions relate to intended corporate culture, resource allocation and structural support. The intended corporate culture should set values and the risk tolerance communicating the aspiration of being an innovator. Furthermore, central management must create a structure for resource allocation, organizing how innovation is funded, through a protected budget as recommended by López and Oliver (2023), when the central organization engages in decisions about resource allocation and when to support BUs. Moreover, the structural support has to be designed to enable innovation. Leadership must show commitment to the innovation strategy and build an incentive architecture motivating for innovational behaviour aligning with Young and Tavares (2004) argument of autonomy alone being insufficient to provoke innovation. The distinction between governance style and incentive architecture, identified in the workshop data as the core source of company X's strategic paralysis, is addressed here. The incentive architecture and the governance style must be designed together, not independently. Furthermore, to move beyond ROI evaluation alternative criteria need to be embedded in the incentive structure.

Level 4: BU autonomy

The fourth level is about the autonomous acting BU. It pursues protected local initiatives without a direct central mandate, following own ideas, making local resource decisions and establishing their own processes. It creates its individual strategies and contributes to the corporate strategy through own local initiatives. The framework sees the autonomous BU not as a problem to be governed but as the unit to be enabled.

Strategy interface

Between Level 3 and Level 4 sits a strategy interface, a transition layer that allows exchanging activities between central management and the BUs, facilitating the synthesis of emergent and deliberated strategy. The strategy interface performs an analogous function to the mediating induced strategy process described by Madsen (2012). Emergent signals from the BU level get translated upward while strategic intend of the central function is distributed downward. Dissimilar to Madsen's model, this mediation operates without the assumed central authority. Instead, it relies on proposed best practices and voluntary adoption, a structural condition that has not been addressed in existing innovation strategy literature.

Within the transition layer the existing culture can be observed, showing the innovative mind set and real risk tolerance. If there is deviation from the intended culture this might need to be revised. Consistent with Madsen's (2012) finding that innovation strategy functions as a series of testable hypotheses rather than fixed plans, the framework incorporates a revision trigger between Level 3 and Level 4. The revision trigger operationalizes Rana et al.'s (2025) concept of strategic flexibility as a structural feature of the framework itself, rather than leaving it as a descriptive capability. In figure 3 this is visualized through an arrow, "Strategy revision trigger", back to Level 2. As the emergent and deliberated strategy signals meet here, they reveal misalignments between corporate intentions and organizational and market reality, causing revision of the strategy if necessary. This allows the strategy to evolve over time and adapt to new conditions. Emergent signals from BU autonomy, new market observations, failed experiments, cross-BU requests, flow upward through the strategy interface and, when they indicate systematic misalignment with the strategic intent, initiate revision of Level 2 and possibly Level 3. In this way Madsen's observed learning cycle becomes a deliberate structural feature of the strategy framework.

In line with the results and fitting the structure of decentralized organizations the framework must not be too constraining. Too heavy processes and measurement/reporting bear the risk of compliance-flight and might conflict with the autonomous, trust based culture, which enables innovation. Processes are excluded from strategy making as they are operational execution. Furthermore, a decentralized organization has limited authority over the way its BUs are operating

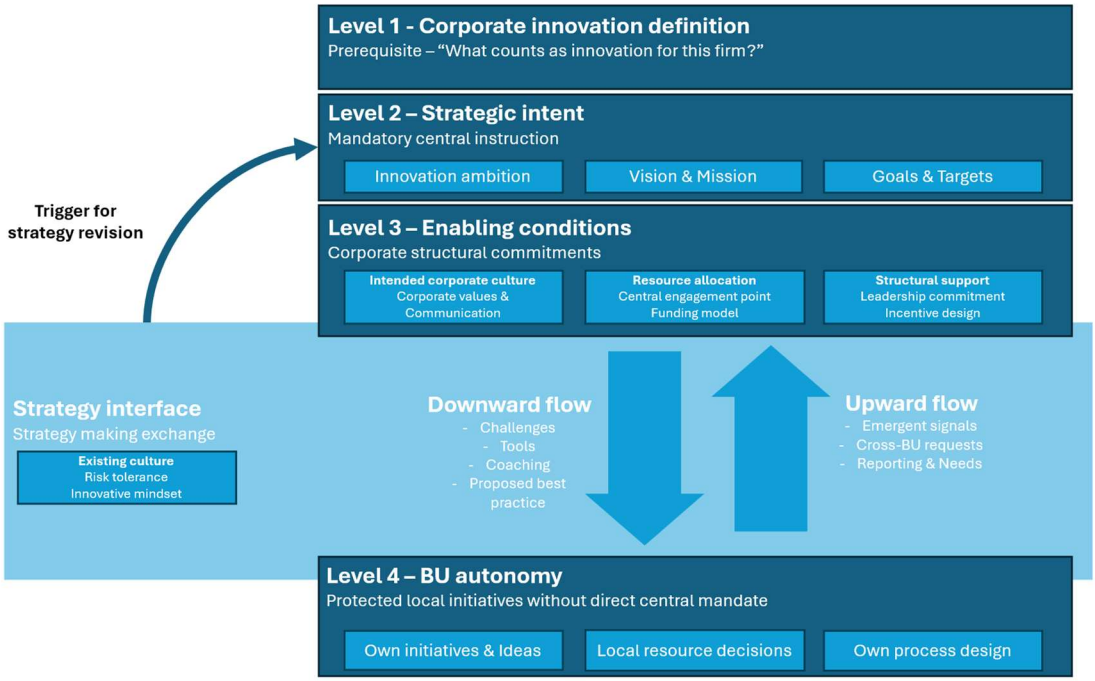


Figure 3: The developed "four-level" innovation strategy framework. The role of central management is restricted to formulating a strategic intend and creating the enabling conditions for a BU to innovate without

5.3 Practical implications at company X

The study's results show that BU-level's current innovation behavior is client-driven, reactive and focusing on billable work. This cognitive frame, named as dominant logic, is structurally reinforced and suppresses innovation. The new innovation framework can be used by company X to break up the dominant logic. According to Prahalad and Bettis, and later Madsen, dominant logic can change through two mechanisms: Structural disruption and new experiences.

Structural disruption is addressed by the frameworks' level 3, which changes the conditions under which the operational dominant logic is rewarded. New experiences are created through the strategy interface. The exchange of BU reality and shared successful innovation projects having direct impact on the corporate strategy, without being punished to take time for innovation, will update BU manager's mental model. This dual mechanism responds to Madsen's (2012) finding that dominant logic is loosened not by argument but by structural change and anomalous experience.

The innovation strategy framework is designed to unlock the potential given by the already existing decentralized structure, that is beneficial for innovation. In In this section concrete implications for practical implementation shall be presented. The problems identified by the Result and Analysis section will be tackled with solutions directly deducted from the before developed framework.

First action to be taken by central management is creating a shared innovation definition. A shared innovation definition is the first step of the framework and a prerequisite for every innovation strategy. This basic work was not done yet by company X. Consequently, central management should create an innovation definition that explicitly names what counts as incremental and radical innovation in an energy service BU context and what does not count as innovation. When the definition is set company X should specify its strategic intend, according to level 2 of the framework. Presently, BU-level strategy defaults to whatever the operational environment selects: client-driven,

reactive incrementalism. If deciders are always in the “now-space”, no formal process will produce radical innovation, risking disruption of the current business by competitors. Central management should therefore formulate at least an aspirational innovation ambition stating how much incremental and how much radical innovation is desired. Additionally, strategic focus areas can give BUs direction without prescribing what to innovate, when necessary.

The framework, aligning with literature, is calling for a protected innovation budget. Currently, an innovation budget is absent or contested, fully exposed to a BU’s P&L. This positions any locally funded innovation as a direct cost to a BU manager’s performance metric. The recommendation is to structurally disconnect the innovation resource consumption from the P&L evaluation. Most critical, the workshop revealed a tension within management, whether that should be solved through a visible innovation budget or not. This disagreement must be settled before any framework, or strategy can be implemented successfully. Without a protected innovation budget, the BU dominant logic correctly identifies innovation as a threat to their performance metrics. With it, the structural incentive changes. Especially radical ideas might exceed resources and capabilities of single BUs. Therefore, radical ideas would need backing by the central organization. The central organization can contribute here with funding but also with organizing cross-BU collaboration.

Another resource challenge is time for innovation, which gets systematically replaced by billable delivery work. Innovation is perceived as an extra activity, that does not get protected time allocated. It is also one of the top ranked barriers within the data collection phases. Creating time dedicated to innovation and structurally protecting it from operational delivery is therefore highly recommended.

Resource allocation is one of the biggest structural impacts to manage the misalignment between the attempted governance style and the current incentive structure. The center wants to enable innovation while the incentive structure prescribes financial performance and encourages low risk taking. This makes innovation a personal cost against BU managers. To solve this contradiction the governance style and the incentive architecture must be calibrated together. This would be operationalized at level 3 of the framework, by creating the right enabling conditions, where incentives and leadership commitment are part of the support factor. Central management must create incentives that enable innovation. One important part is the just discussed resource organization. Furthermore, failure tolerance must be established and lived, as failure is part of innovation. Rewarding innovative behavior is another dimension of the incentive design, that also breaks the dominant logic described. People need to be encouraged and rewarded for being innovative. Additionally, central management can fight the risk aversion in level 3 and the strategy interface of the innovation strategy framework, updating the dominant logic that is reinforced through the bonus accountability structure. So, on the one hand central management needs to change what gets rewarded and on the other hand enable BUs to experience innovation success safely. The “we fail together” rhetoric needs to be operationalized, for example by agreeing on a failure tolerance, defining initiatives that are allowed to fail without bonus consequences.

As budget holders are structurally constrained by their profit and bonus accountability, psychological safety to innovate is absent, regardless of the cultural intend. According to the framework budget holder safety should be addressed through explicit evaluation criteria, including return on experience, market exploration, and new competency creation alongside ROI. It makes innovation-oriented behavior visible in the performance review without requiring immediate financial return, providing a neutral to positive career signal. These KPIs should be context dependent for each BU, considering their specific market environment. Bearing in mind the number of BUs, the number of different markets they are operating in and the different innovation potential of these BUs.

A structural problem of decentralized organizations also recognized in the data collection is knowledge sharing. Company X admits across multiple levels that innovation work happening in the

network lacks visibility and leads to duplication of work, highlighting that cross BU collaboration only happens if mutually beneficial. Making successful BU experiments visible across the network is what is supposed to happen in the strategy interface. It creates concrete experience-near examples that update BU managers' dominant logic. Something central management at company X can do immediately is integrating quarterly cross-BU innovation updates embedded in existing review meetings. These could be followed by a newsletter or brief AI-generated audio summary of BU innovation activities, creating visibility without requiring a new platform investment.

In conclusion, the central innovation function should explicitly adopt an enabling role definition: issuing challenges and frameworks as proposals, not requirements. Where prescribing authority is genuinely needed (e.g. KPI reporting), it must be paired with structural enablers so BUs can realistically comply.

Table 8: Practical implications for the case company. 1, 2 and 9 can be implemented immediately with comparatively low effort, the other implications are long-term structural changes

Problem	Framework mechanism	Practical implication
1. Absent shared innovation definition	Level 1: The framework specifies a shared innovation definition as a prerequisite, set centrally but made locally legible through concrete examples from the company's own context	Central management should co-create a definition of innovation that explicitly names what counts as incremental and what counts as exploratory in an energy services BU context, and crucially, what does not count.
2. No defined innovation ambition: BU-level strategy defaults to whatever the operational environment selects client-driven, reactive incrementalism. No top-down signal exists to rebalance toward exploratory innovation.	Level 2: rough portfolio ratio communicated as a soft guardrail rather than a managed. Strategic challenge areas from brand teams/pole provide directional guardrails without content mandates.	The MD and ID should jointly define and publish a rough innovation ambition, even an aspirational ratio, as the first visible signal of strategic intent. Strategic focus areas can give BUs direction without prescribing what to innovate.
3. Innovation budget absent or contested, fully exposed to BU P&L pressure. Currently any locally funded innovation is a direct cost against the manager's performance metric. Incompatible positions on whether a visible innovation budget is desirable.	Level 3: innovation resource consumption must be structurally disconnected from P&L.	Disagreement on budget visibility must be resolved. Resources disconnected from P&L must be created.
4. Almost no radical innovation. Radical ideas might exceed BU resources and capabilities.	Level 3 tackles the problem of central support for innovation	Radical ideas need central backing in organizing resources and collaboration
5. Time for innovation systematically displaced by billable delivery work. Innovation is extra activity with no protected time allocation. Ranked first or second barrier across all data collection phases.	Level 3: innovation hours must be structurally separated from delivery metrics.	structural time protection, through e.g. innovation hour quotation (risk of customer pushback)
6. Center attempts enabling governance while incentive architecture prescribes financial performance → innovation personally costly	Governance style and incentive design must be calibrated together. Level 3 makes enabling style operative	Create incentives that enable BUs to innovate: Budget, failure tolerance etc.

7. Risk aversion structurally produced by incentive design is rational given by bonus accountability structures not a cultural failure but a structural one. Dominant logic is reinforced, not chosen.	The framework distinguishes structural disruption (changing what gets rewarded, Level 3) from experiential learning (enabling BUs to safely experience innovation success, strategy interface). Dominant logic is addressed through both mechanisms simultaneously	Failure tolerance agreements, specifying which initiatives are permitted to fail without bonus penalty, directly address the structural source of risk aversion. The "we fail together" rhetoric must become operational
8. Psychological safety to innovate is absent. Budget holders are structurally constrained by bonus accountability regardless of stated cultural intent.	Level 3 of the framework addresses budget holder safety through explicit evaluation criteria that include return on experience, market exploration, and new competency creation alongside ROI, making innovation-oriented behavior visible in performance review without requiring immediate financial return.	BU manager performance evaluation should explicitly include innovation engagement criteria. Evaluation of BUs on context-dependent KPIs reflecting their specific market environment. As a visible neutral-to-positive career signal
9. Weak knowledge sharing producing duplication of work. Cross-BU collaboration only occurs when perceived as mutually beneficial. Weak visibility of what innovation work is happening across the network	Strategy interface: Making successful BU experiments visible across the network creates concrete experience-near examples that update BU managers' dominant logic	Quarterly cross-BU innovation update embedded in an existing meeting. Followed by newsletter or brief AI-generated audio summary of BU innovation activities would create visibility without requiring a new platform investment

5.4 Limitations

This study was conducted with methodological rigor, but several boundary conditions constrain the scope and generalizability of its findings.

The most significant limitation is the organizational scope. The empirical focus is restricted to the Swedish sub-organization of company X, a deliberate delimitation that enabled depth of analysis but reduces the transferability of findings to other national contexts within the same multinational group. Swedish organizational culture, characterized by flat hierarchies, high trust norms, and a preference for consensus-based decision-making, may itself be a moderating variable in the observed governance dynamics.

Second, the sample size across all data collection phases is small. The pre-study comprised seven internal interviews; the external case study covered three companies with one interviewee each; the workshops engaged four participants in total. While purposive sampling and the triangulation of four distinct data sources strengthens credibility, the small participant pool means that individual perspectives may carry disproportionate weight in the analysis. In particular, the workshop findings reflect the views of two BU managers and two central managers at a single point in time and cannot be treated as representative of the full organizational population.

Third, the external case studies, while valuable for cross-case comparison, are limited by single-informant designs. Each company was represented by one interviewee, whose perspective reflects their own role and experience rather than a triangulated organizational view. The governance and autonomy findings from Company C, for example, rest on the testimony of one Head of Innovation, whose account of the company's decentralized model may not capture the full complexity of how authority is experienced at other organizational levels.

Finally, the proposed innovation strategy framework and the Structure-Authority Legitimacy Framework are theoretical contributions grounded in a single case and three comparative cases. They represent analytically derived propositions rather than statistically validated models. Their applicability to decentralized organizations in other industries, ownership structures, or cultural contexts remains to be empirically tested.

5.5 Future work

This thesis makes two theoretical contributions, the Structure-Authority Legitimacy Framework (SALF) and the four-level innovation strategy framework, both derived from a single case study and three comparative cases. Several directions for future research follow directly from what this study could not resolve.

Quantifying and empirically validating the SALF

The SALF is currently a qualitative framework. It maps the relationship between decentralization and legitimate authority type across three zones (prescribing, guiding, and enabling) but does not provide a method for organizations to determine precisely where they sit on the centralization gradient, nor at what point an organization crosses from one zone into another. Future research should develop quantifiable indicators of decentralization degree that can be mapped to authority type with greater precision. Possible variables could be the share of strategic decisions made at BU level versus corporate center, the formal veto rights of the corporate center over BU-level resource allocation, and the proportion of innovation budget controlled centrally versus distributed. A survey-based study across a larger sample of decentralized organizations, ideally spanning multiple industries and national contexts, would allow researchers to test whether the three-zone structure holds empirically, where the zone boundaries fall, and whether movement along the gradient follows predictable triggers (performance outcomes, cultural evolution, or explicit governance redesign) as

suggested by the external case data. Such a study would transform the SALF from a conceptual map into a diagnostic instrument practitioners can use to determine which governance style is legitimate for their organization and which interventions are likely to be resisted.

Testing the innovation strategy framework in implementation

The four-level framework was developed and validated in workshops but has not been implemented. The next step is a longitudinal study tracking an organization through the process of adopting the framework across all four levels. Key questions for such a study are: How long does it take for structural changes at Level 3, particularly realigned incentive architecture, to produce observable changes in BU-level innovation behavior? Does the strategy interface function as designed, or does the voluntary nature of the mediation layer cause emergent signals to be filtered before they reach Level 2? And does the revision trigger produce genuine strategy revision? Company X is a natural candidate for such a longitudinal study, given the depth of organizational knowledge accumulated in this thesis.

The role of a dedicated innovation function at the strategy interface

One structural question this thesis raises but does not resolve is whether the strategy interface can function without a dedicated organizational role to operate it. The strategy interface depends on upward translation of emergent BU signals, downward distribution of strategic intent and best practices, recognition of BU innovation champions, and initiation of the revision trigger when signals indicate systematic misalignment. Does it need a strategy interface owner to operationalize these events? At company X, the innovation director and brand team innovation managers play a partial version of this role, but without a formal mandate to operate the interface as described in the framework. Future research should investigate whether such a strategy interface owner is a structural necessary or if the interface can be sustained through existing roles with augmented responsibilities.

A related question is what authority this role requires. Given the SALF's finding that authority in highly decentralized organizations must be enabling rather than prescribing, the innovation function at the interface cannot hold directive authority over BUs. But it must hold sufficient organizational standing to initiate strategy revision at Level 2 when signals demand it, which implies upward authority, not downward. Future work should examine what organizational positioning, reporting line, and formal mandate enables this combination: enough standing to trigger central revision, not enough to prescribe BU behavior.

Refining the SALF for cross-zone governance

The current SALF assumes that an organization occupies a single position on the centralization gradient. The external case data hints at a more complex picture: Company A oscillates cyclically between centralization and decentralization, suggesting that some organizations do not sit at a fixed point but actively manage their position as a strategic variable. Future research should examine whether organizations can deliberately operate in different zones for different innovation types simultaneously, for example prescribing for radical innovation (as Company A does through CTO board involvement for "big bets") while enabling for incremental innovation. If so, the SALF requires extension to accommodate a dual-zone governance model, where the authority type is not a property of the organization as a whole but is calibrated to the innovation risk level of specific decisions. The current framework notes this as a limitation; resolving it empirically would significantly increase the SALF's practical utility as a governance design tool.

Generalizability beyond Sweden and the engineering sector

The enabling style of the SALF's decentralized zone may be particularly well-suited to the cultural context, described in the limitations chapter, and may face greater resistance in organizational cultures with higher power distance or stronger expectations of hierarchical direction. Cross-national replication of the study, particularly in organizational contexts with different cultural assumptions about authority and autonomy, is necessary before the SALF and the innovation strategy framework can be claimed as generalizable beyond the Scandinavian case.

5.6 Reflections

This thesis sets out to answer three questions: What are the key components and key interdependencies in innovation strategy and system for a decentralized company? How to generate an innovation strategy in a decentralized company? How to create a system that allows a decentralized strategy?

The four-level framework and the SALF together constitute a direct answer to all three.

The key components are established across the framework's four levels: a shared innovation definition (Level 1), a centrally formulated strategic intent including ambition, vision, and testable growth targets (Level 2), enabling conditions calibrated to the SALF's authority gradient, covering culture, resource allocation, and structural support including incentive architecture (Level 3), and protected BU autonomy (Level 4), with a strategy interface layer mediating between them. The key interdependencies are the relationship between governance style and incentive design (their misalignment is the root cause of company X's strategic paralysis), the relationship between the degree of decentralization and the type of authority the center can legitimately exercise (the SALF), and the feedback loop between BU-level emergent signals and central strategic revision (the revision trigger).

On how to generate an innovation strategy in a decentralized company, the answer is: through a process that combines a non-negotiable central mandate at Level 2 with structural enabling conditions at Level 3, rather than through either a purely top-down prescription or a purely emergent process. Consistent with Carbonell and Rodriguez Escudero (2016), the ratio of top-down to bottom-up is culturally and structurally contingent. The data establishes though that in a highly decentralized organization, the bottom-up component can only function if the structural conditions at Level 3 make innovation personally and organizationally viable for BU managers.

On how to create a system that allows a decentralized strategy, the answer is the strategy interface: a mediation layer that does not rely on central authority but on voluntary adoption, visibility of successful BU experiments, and a revision mechanism that translates operational experience back into strategic revision. This is a structural feature no existing innovation strategy framework has proposed, and it is the most significant contribution of this thesis to the field.

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6 Appendix A: Detailed codebook external interviews

Category	Code ID	Code name	Definition
1. Strategy generation process	1.1	Induced / top-down strategy	Formal, planned strategy formulation initiated by corporate or divisional leadership, expressing intentions through mandates, directives or structured processes.
	1.2	Emergent / bottom-up strategy	arises from local initiatives, patterns of action and experimentation rather than top-level intent; local
	1.3	Strategy balance (top-down vs bottom-up)	The deliberate or observed calibration between centrally directed and locally emergent strategy; how much ownership and formulation authority resides at each level.
	1.4	Strategy ownership and responsibility	Who is formally or informally responsible for generating, owning, and updating the innovation strategy.
	1.5	Strategic flexibility and adaptation	The structural and processual capability of the strategy to be updated, reconfigured, or evolved in response to new information or environmental change.
2. Governance and autonomy	2.1	BU autonomy in innovation	The degree to which business units independently initiate, develop, and execute innovation activities without requiring higher-level approval.
	2.2	Alignment mechanisms	Processes and structures used to ensure that BU-level innovation activities remain coherent with and supportive of the broader corporate strategy.

	2.3	Decision rights allocation	The formal or informal distribution of authority over innovation-related decisions between corporate, divisional, and BU levels.
3. Innovation culture and enabling conditions	3.1	Innovation culture definition	How the organization defines, describes, or operationalizes its innovation culture, including norms, values, and shared beliefs about innovation.
	3.2	Psychological safety and risk tolerance	The degree to which the organization creates conditions where employees feel safe to propose ideas, take risks, and fail without negative consequences.
	3.3	Incentives and recognition	Formal and informal mechanisms used to motivate innovative behavior, including financial rewards, recognition programs, career paths, and time allocation.
	3.4	Capability building and skills	Efforts to develop the competencies, knowledge, and skills needed for innovation across the organization, including training, hiring, and cross-functional teaming.
	3.5	Leadership role in culture	The active role of leaders and managers in shaping, modelling, or sustaining an innovation culture.
4. Resource allocation	4.1	Funding models for innovation	How financial resources are allocated to innovation activities, including centralized vs decentralized budgeting, dedicated innovation budgets, and stage-gate funding.

	4.2	Portfolio balance and innovation types	Deliberate management of the mix of innovation types (incremental vs radical; core vs adjacent vs transformational) within the innovation portfolio.
	4.3	Resource protection for innovation	Mechanisms that shield innovation resources (budget, time, people) from being redirected to operational or short-term activities.
	4.4	Evaluation criteria for innovation projects	The criteria, metrics, and frameworks used to assess, select, and prioritize innovation initiatives.
	4.5	People and time as resources	The allocation of human capital and dedicated time to innovation, beyond financial resources.
5. Innovation system and processes	5.1	Innovation process design	How the organization structures the end-to-end process of taking ideas from generation to commercialization or implementation.
	5.2	Idea generation and sourcing	Mechanisms and sources through which new ideas enter the innovation system, including internal and external sources.
	5.3	Innovation performance measurement	Metrics, KPIs, and evaluation mechanisms used to assess how well the innovation system and strategy are performing.
	5.4	Innovation definition	The corporate definition of innovation, the responsible for the definition of innovation, company wide understanding of this definition
6. Emergent codes			
	E.1	Market timing as innovation strategy discipline	

E.2	IP strategy as innovation disposition decision
E.3	Intrapreneurship as innovation mechanism
E.4	Centralisation–decentralisation pendulum in R&D governance
E.5	Informal proximity as knowledge infrastructure
E.6	Scalability as innovation validity criterion
E.7	Two-speed innovation: core R&D vs operational/IT innovation
E.8	Challenge-first innovation (problem-pull vs idea-push)
E.9	Decision-maker risk aversion as innovation bottleneck
E.10	Business model alignment as innovation dimension

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